
What Still Works on Wall Street

A systematic retest of every factor from O'Shaughnessy's *What Works on Wall Street* using 21 years of out-of-sample data.

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Data: Nasdaq Data Link / Sharadar Core US Equities

Period: 2005–2025 | Universe: US domestic common stock

Methodology: Quarterly TTM fundamentals, decile sort, 12-month averaged annual rebalance

Coverage: 15,456 domestic common stocks (12,151 delisted + 3,305 active)

Contents

Executive Summary

Price-to-Earnings

DEAD

EBITDA / Enterprise Value

DEAD

Price-to-Cash Flow

MARGINAL

Price-to-Sales

WORKS

Price-to-Book

INVERTED

Dividend Yield

WEAK

Buyback Yield

INVERTED

Shareholder Yield

INVERTED

Accruals

MARGINAL

Earnings Growth

INVERTED

Profit Margins

INVERTED

Return on Equity

INVERTED

Price Momentum

WORKS

Value Composites

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Trending Value

WORKS*

Conclusions & Implications

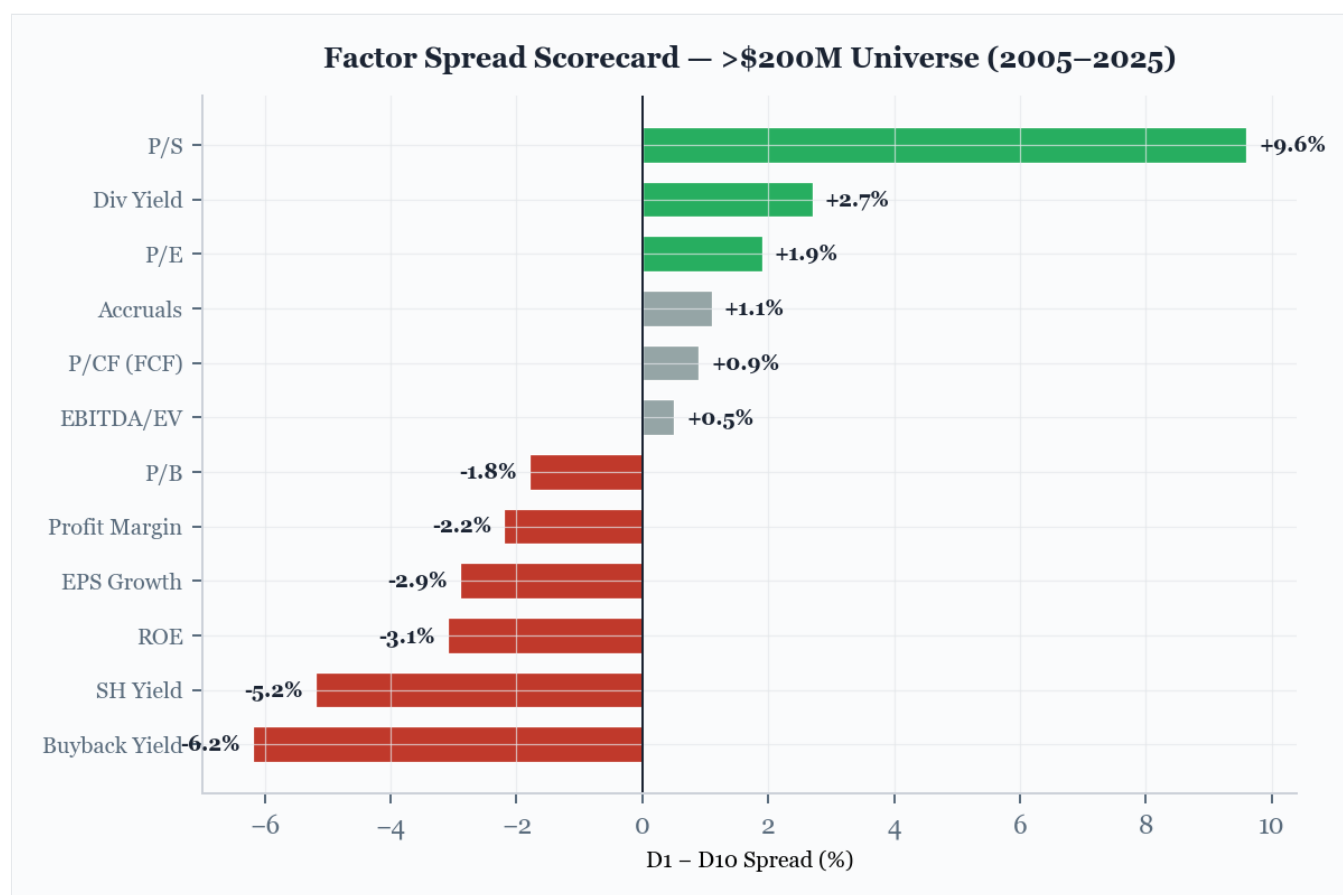
EXECUTIVE SUMMARY

The Value Premium Is Largely Dead

Central Finding: Of 12 single factors tested, only one traditional value metric (P/S) retains a meaningful spread between cheap and expensive deciles. P/E, EBITDA/EV, and P/B — the pillars of value investing — produce zero or negative spreads over 2005–2025. The factors that survive share a common trait: they measure fundamentals that are hardest to manipulate.

We replicate every single-factor strategy from O'Shaughnessy's *What Works on Wall Street* (4th Edition, 2012) using Sharadar US equity data from 2005 to 2025. Our methodology mirrors the book's: annual rebalance with decile portfolios, using 12 monthly cohorts averaged to eliminate start-date bias. We apply two universe filters (>\$200M and >\$5B market capitalization) and exclude financials for value metrics.

FACTOR SCORECARD — D1 VS D10 ANNUAL SPREAD



FACTOR SUMMARY — >\$200M UNIVERSE (CAGR %, 2005–2025)

Factor	D1	D5	D10	Univ	Spread	Alpha	5yr BR	Status
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P/S	+13.7%	+9.6%	+4.1%	+9.3%	+9.6%	+4.4%	88%	WORKS
Div Yield	+10.8%	+10.8%	+8.1%	+10.4%	+2.7%	+0.4%	65%	WEAK
P/E	+9.4%	+10.7%	+7.5%	+9.9%	+1.9%	-0.5%	71%	DEAD
Accruals	+8.9%	+9.6%	+7.8%	+9.3%	+1.1%	-0.4%	71%	MARGINAL
P/CF (FCF)	+10.2%	+11.7%	+9.3%	+10.6%	+0.9%	-0.4%	71%	MARGINAL
EBITDA/EV	+9.0%	+10.5%	+8.5%	+9.9%	+0.5%	-0.9%	65%	DEAD
P/B	+8.4%	+8.4%	+10.2%	+9.1%	-1.8%	-0.7%	47%	INVERTED
Profit Margin	+4.9%	+10.4%	+7.1%	+9.3%	-2.2%	-4.4%	41%	INVERTED
EPS Growth	+6.5%	+8.7%	+9.4%	+8.8%	-2.9%	-2.3%	44%	INVERTED
ROE	+7.5%	+9.4%	+10.6%	+9.1%	-3.1%	-1.6%	12%	INVERTED
SH Yield	+5.4%	+7.5%	+10.6%	+9.1%	-5.2%	-3.7%	18%	INVERTED
Buyback Yield	+4.9%	+7.6%	+11.1%	+9.1%	-6.2%	-4.2%	0%	INVERTED

FACTOR SUMMARY — >\$5B UNIVERSE (CAGR %, 2005–2025)

Factor	D1	D5	D10	Univ	Spread	Alpha	Syr BR	Status
P/S	+12.0%	+12.2%	+7.6%	+10.6%	+4.4%	+1.4%	82%	WORKS
P/CF (FCF)	+11.6%	+11.6%	+9.7%	+11.3%	+1.9%	+0.3%	71%	MARGINAL
Accruals	+11.5%	+9.6%	+9.8%	+10.6%	+1.7%	+0.9%	71%	MARGINAL
EBITDA/EV	+10.8%	+11.3%	+9.8%	+10.7%	+1.0%	+0.1%	53%	DEAD
Profit Margin	+8.7%	+10.7%	+8.0%	+10.4%	+0.7%	-1.7%	76%	INVERTED
Div Yield	+11.2%	+11.5%	+10.9%	+10.8%	+0.3%	+0.4%	65%	WEAK
P/E	+9.3%	+10.7%	+9.6%	+10.6%	-0.3%	-1.3%	24%	DEAD
EPS Growth	+7.7%	+11.0%	+9.3%	+10.1%	-1.6%	-2.4%	62%	INVERTED
ROE	+9.0%	+10.6%	+12.0%	+10.3%	-3.0%	-1.3%	24%	INVERTED
SH Yield	+9.0%	+10.2%	+12.7%	+10.5%	-3.7%	-1.5%	12%	INVERTED
P/B	+8.6%	+10.7%	+12.4%	+10.4%	-3.8%	-1.8%	35%	INVERTED
Buyback Yield	+7.0%	+10.8%	+12.3%	+10.5%	-5.3%	-3.5%	0%	INVERTED

Price-to-Earnings

DEAD

DEAD — Book D1 CAGR: 16.25% → Our D1: +9.4% (>\$200M), +9.3% (>\$5B). Spread: +1.9% (>\$200M), -0.3% (>\$5B). Alpha vs universe: -0.5% (>\$200M), -1.3% (>\$5B).

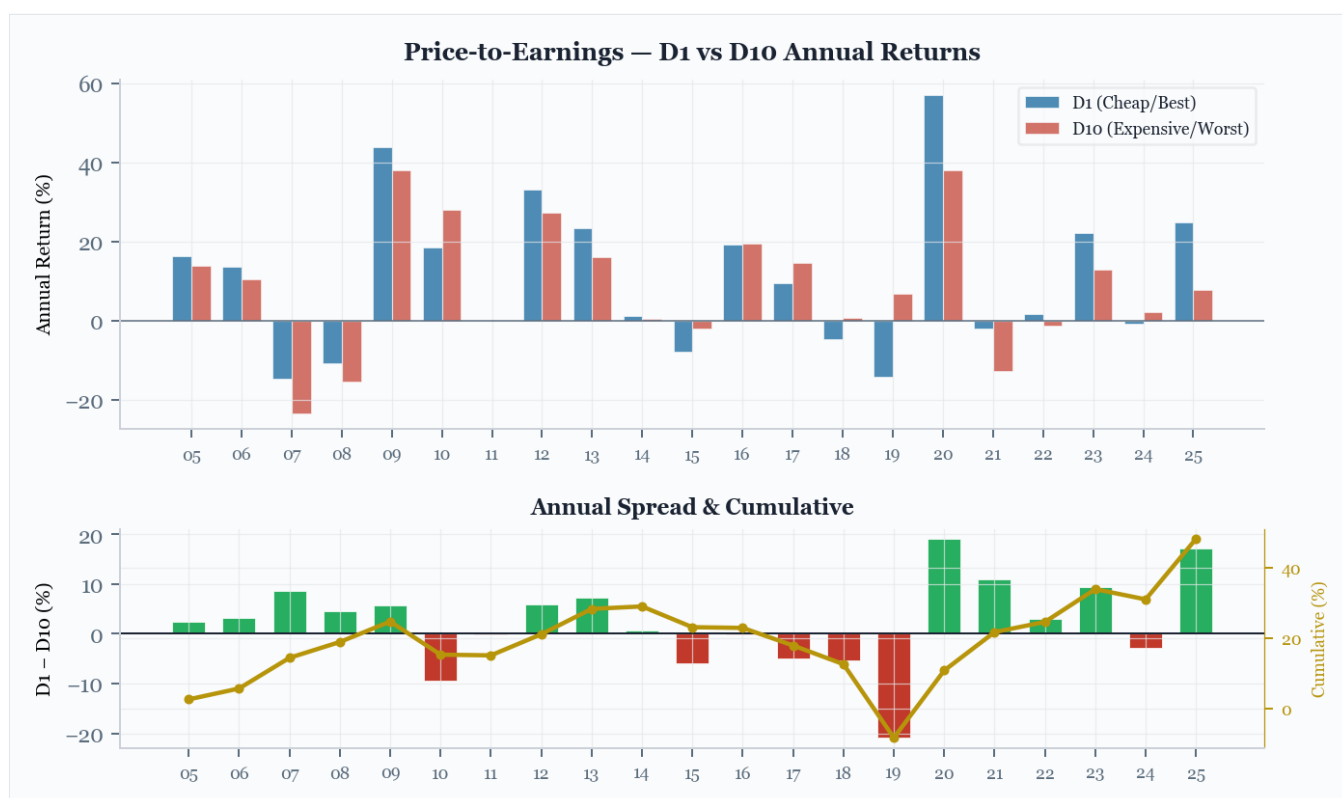
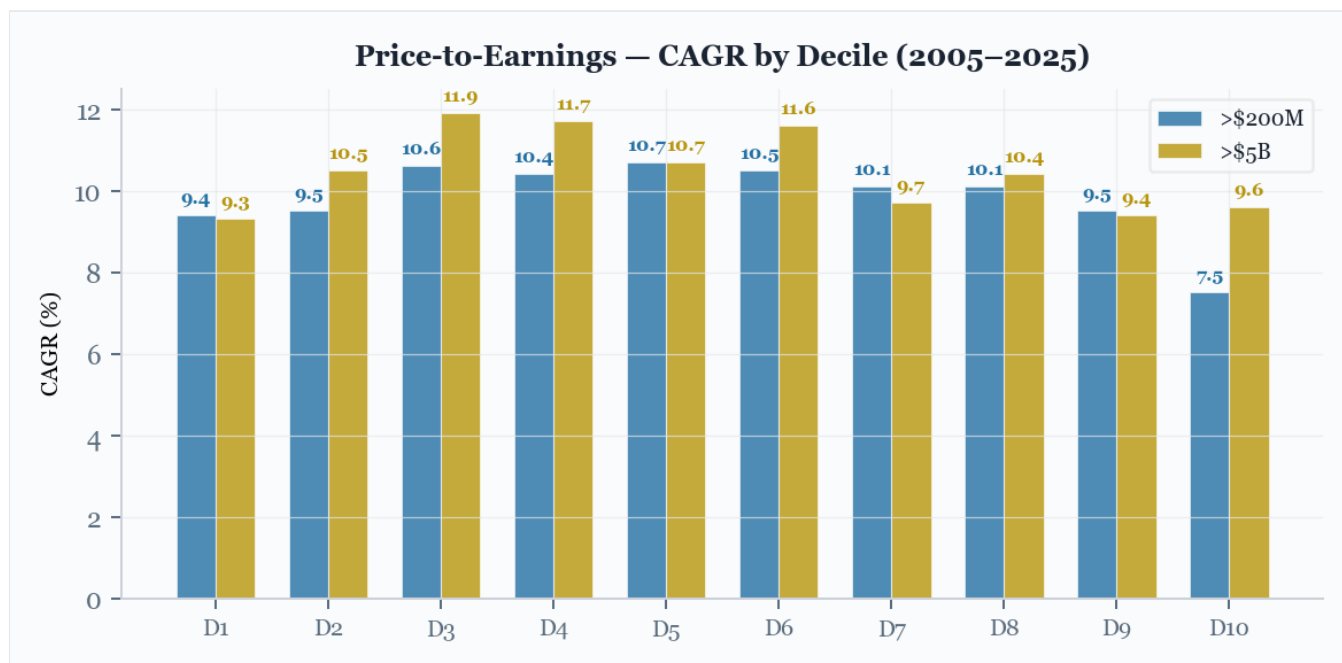
ORIGINAL BOOK CLAIMS (1964–2009)

Metric	Book Value
D1 CAGR	16.25%
D1–D10 Spread	~10.7%
Sharpe Ratio	0.61
5yr / 10yr Base Rate	92% / 99%
Conclusion	<i>Low P/E stocks earn enormous premiums across all periods tested.</i>

OUR RESULTS — FULL DECILE BREAKDOWN

	D1	D2	D3	D4	D5	D6	D7	D8	D9	D10	Univ	Spread	Alpha
>\$200M	+9.4%	+9.5%	+10.6%	+10.4%	+10.7%	+10.5%	+10.1%	+10.1%	+9.5%	+7.5%	+9.9%	+1.9%	-0.5%
>\$5B	+9.3%	+10.5%	+11.9%	+11.7%	+10.7%	+11.6%	+9.7%	+10.4%	+9.4%	+9.6%	+10.6%	-0.3%	-1.3%

Metric	Book	Our (>\$200M)	Our (>\$5B)
D1 CAGR	16.25%	+9.4%	+9.3%
D1–D10 Spread	~10.7%	+1.9%	-0.3%
5yr Base Rate	92%	71%	24%
D1 Alpha vs Universe	Positive	-0.5%	-1.3%



ANALYSIS

O'Shaughnessy found low P/E stocks turned \$10,000 into \$10.2M over 46 years. The lowest decile beat the universe 92% of rolling five-year periods and 99% of ten-year periods. High P/E stocks returned 5.53% — worse than Treasury bills.

The spread has collapsed to near zero. At >\$200M, D1 barely edges D10 by +1.9%. At >\$5B, cheap P/E stocks actually *trail* expensive ones. The five-year base rate has fallen from 92% to 71% — indistinguishable from noise.

The mechanism failure is clear: earnings are the most manipulated line item on the income statement. Stock-based compensation, restructuring charges, tax strategies, and one-time items all distort the denominator. In an era of accounting complexity, P/E captures noise as much as signal. Metrics built on harder-to-game fundamentals — revenue, shares outstanding — have maintained their edge where P/E has not.

EBITDA / Enterprise Value

DEAD

DEAD — Book D1 CAGR: 16.58% → Our D1: +9.0% (>\$200M), +10.8% (>\$5B). Spread: +0.5% (>\$200M), +1.0% (>\$5B). Alpha vs universe: -0.9% (>\$200M), +0.1% (>\$5B).

ORIGINAL BOOK CLAIMS (1964–2009)

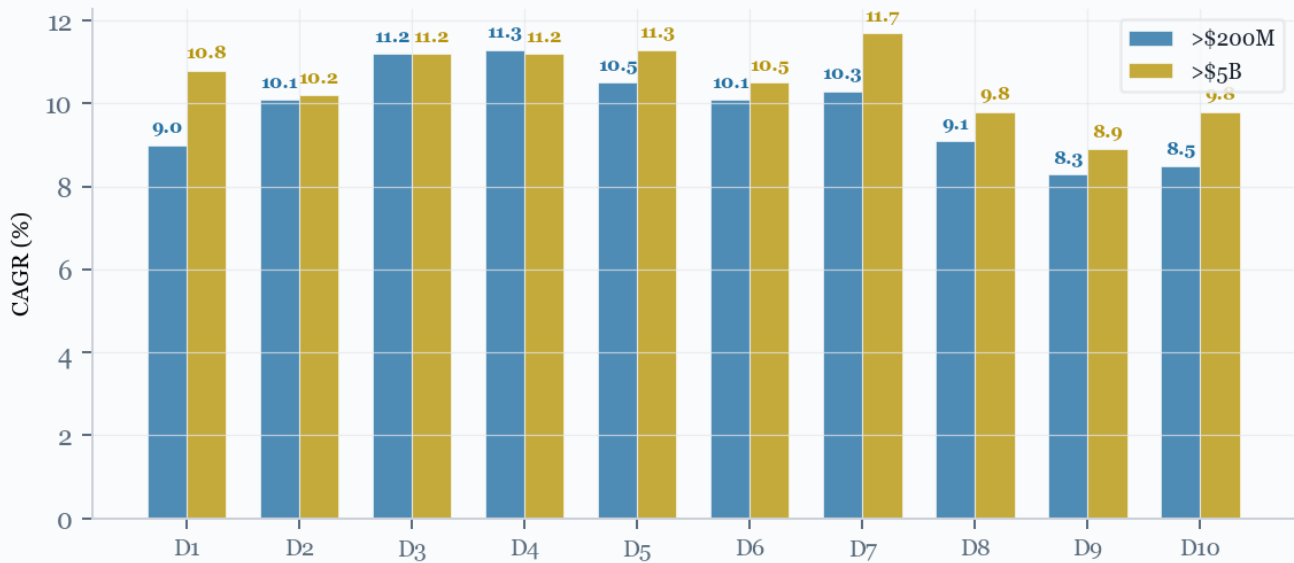
Metric	Book Value
D1 CAGR	16.58%
D1–D10 Spread	~11%
Sharpe Ratio	0.65
5yr / 10yr Base Rate	96% / 100%
Conclusion	"Best on an absolute basis for all individual value factors."

OUR RESULTS — FULL DECILE BREAKDOWN

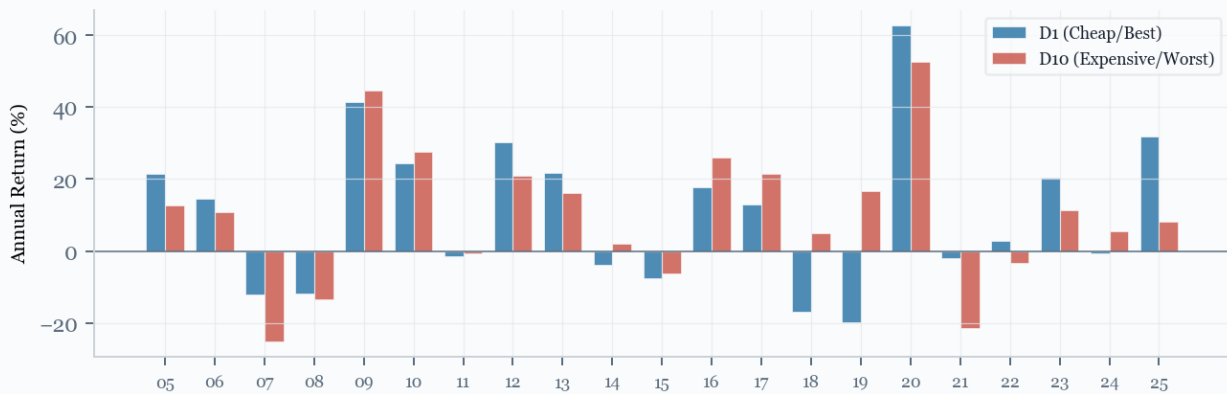
	D1	D2	D3	D4	D5	D6	D7	D8	D9	D10	Univ	Spread	Alpha
>\$200M	+9.0%	+10.1%	+11.2%	+11.3%	+10.5%	+10.1%	+10.3%	+9.1%	+8.3%	+8.5%	+9.9%	+0.5%	-0.9%
>\$5B	+10.8%	+10.2%	+11.2%	+11.2%	+11.3%	+10.5%	+11.7%	+9.8%	+8.9%	+9.8%	+10.7%	+1.0%	+0.1%

Metric	Book	Our (>\$200M)	Our (>\$5B)
D1 CAGR	16.58%	+9.0%	+10.8%
D1–D10 Spread	~11%	+0.5%	+1.0%
5yr Base Rate	96%	65%	53%
D1 Alpha vs Universe	Positive	-0.9%	+0.1%

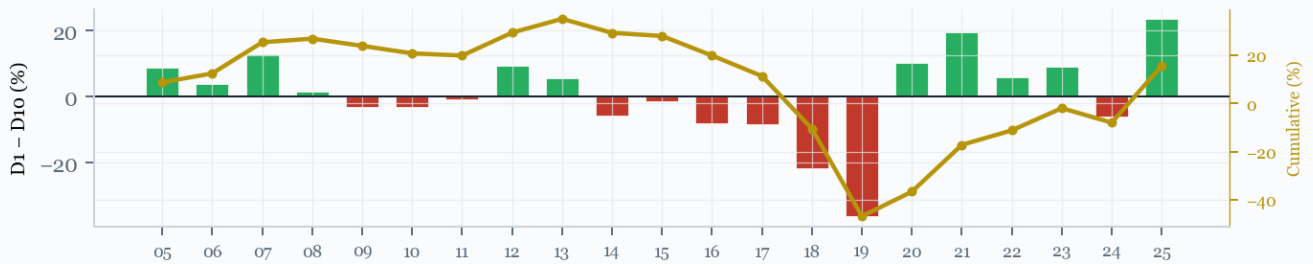
EBITDA / Enterprise Value — CAGR by Decile (2005–2025)



EBITDA / Enterprise Value — D1 vs D10 Annual Returns



Annual Spread & Cumulative



ANALYSIS

The crown jewel of O'Shaughnessy's value arsenal. EBITDA/EV beat the universe 96% of rolling five-year windows and 100% of ten-year windows. No other single factor came close.

The collapse is striking. At >\$200M the spread is +0.5% — a fraction of the 11% the book reported. The factor's structural advantage — capital structure neutrality — became irrelevant in the zero-rate era (2009–2022) when leverage stopped differentiating companies.

A deeper issue: EBITDA ignores stock-based compensation. When the book was written, SBC was negligible. Today it represents billions in real economic cost at technology companies, making them appear cheaper on EBITDA/EV than their true earnings power warrants. The metric's blind spot has become the market's largest sector.

Price-to-Cash Flow

MARGINAL

MARGINAL — Book D1 CAGR: 16.25% → Our D1: +10.2% (>\$200M), +11.6% (>\$5B). Spread: +0.9% (>\$200M), +1.9% (>\$5B). Alpha vs universe: -0.4% (>\$200M), +0.3% (>\$5B).

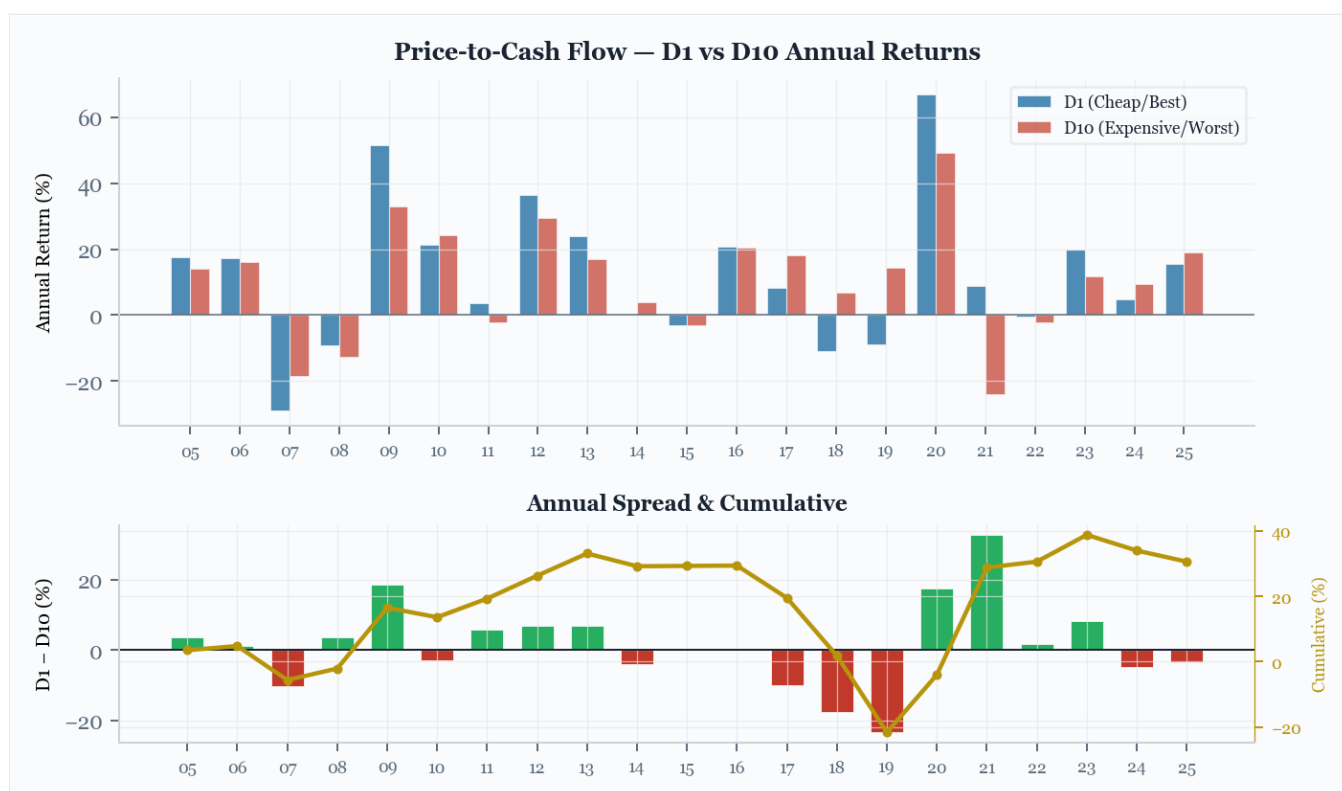
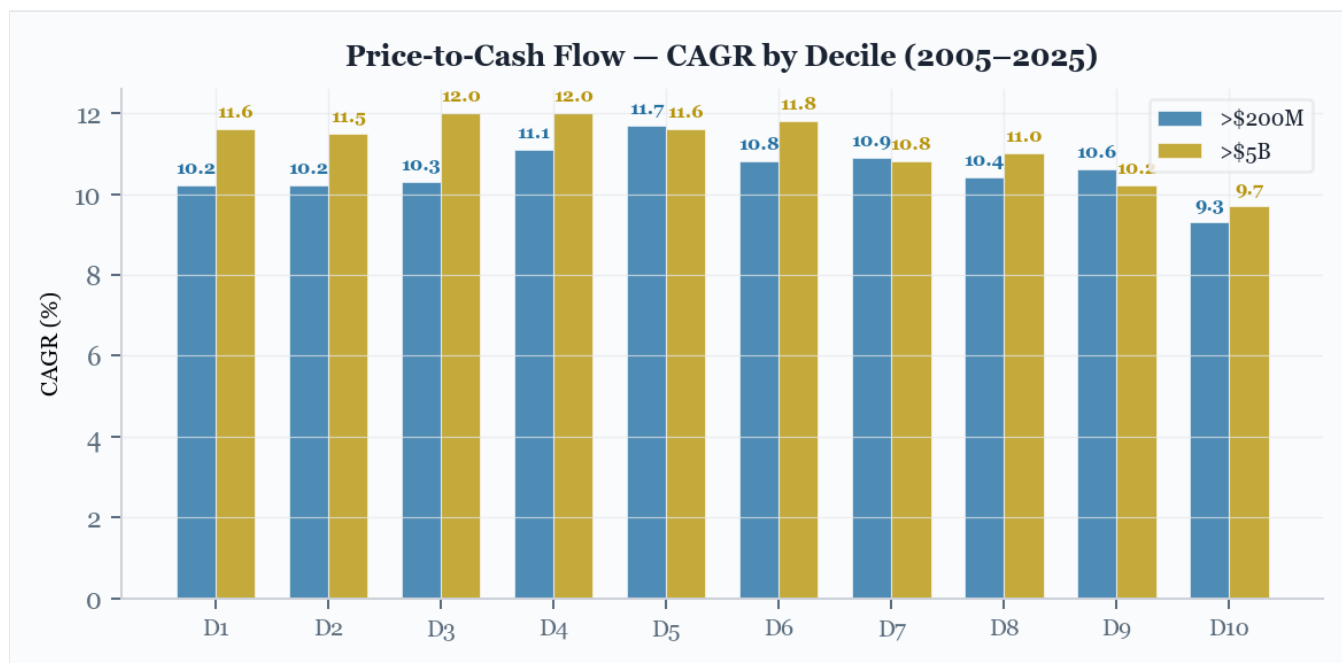
ORIGINAL BOOK CLAIMS (1964–2009)

Metric	Book Value
D1 CAGR	16.25%
D1–D10 Spread	~12.8%
Sharpe Ratio	0.61
5yr / 10yr Base Rate	91% / 100%
Conclusion	"Uniformly high base rates." 100% of rolling ten-year windows positive.

OUR RESULTS — FULL DECILE BREAKDOWN

	D1	D2	D3	D4	D5	D6	D7	D8	D9	D10	Univ	Spread	Alpha
>\$200M	+10.2%	+10.2%	+10.3%	+11.1%	+11.7%	+10.8%	+10.9%	+10.4%	+10.6%	+9.3%	+10.6%	+0.9%	-0.4%
>\$5B	+11.6%	+11.5%	+12.0%	+12.0%	+11.6%	+11.8%	+10.8%	+11.0%	+10.2%	+9.7%	+11.3%	+1.9%	+0.3%

Metric	Book	Our (>\$200M)	Our (>\$5B)
D1 CAGR	16.25%	+10.2%	+11.6%
D1–D10 Spread	~12.8%	+0.9%	+1.9%
5yr Base Rate	91%	71%	71%
D1 Alpha vs Universe	Positive	-0.4%	+0.3%



ANALYSIS

Cash flow was the book's second-tier value metric — nearly identical returns to P/E but with the appeal of being "harder to manipulate." The 100% ten-year base rate was among the strongest of any single factor.

Our results show a modest +0.9% spread at >\$200M and +1.9% at >\$5B. The signal hasn't fully died — the five-year base rate of 71% suggests some residual predictive power — but the magnitude has shrunk by roughly 85% from the book's claim.

Free cash flow remains a cleaner fundamental than net income, which likely explains why P/CF retains more signal than P/E. But capex timing and working capital volatility inject noise that revenue (P/S) avoids entirely.

Price-to-Sales

WORKS

WORKS — Book D1 CAGR: 14.49% → Our D1: +13.7% (>\$200M), +12.0% (>\$5B). Spread: +9.6% (>\$200M), +4.4% (>\$5B). Alpha vs universe: +4.4% (>\$200M), +1.4% (>\$5B).

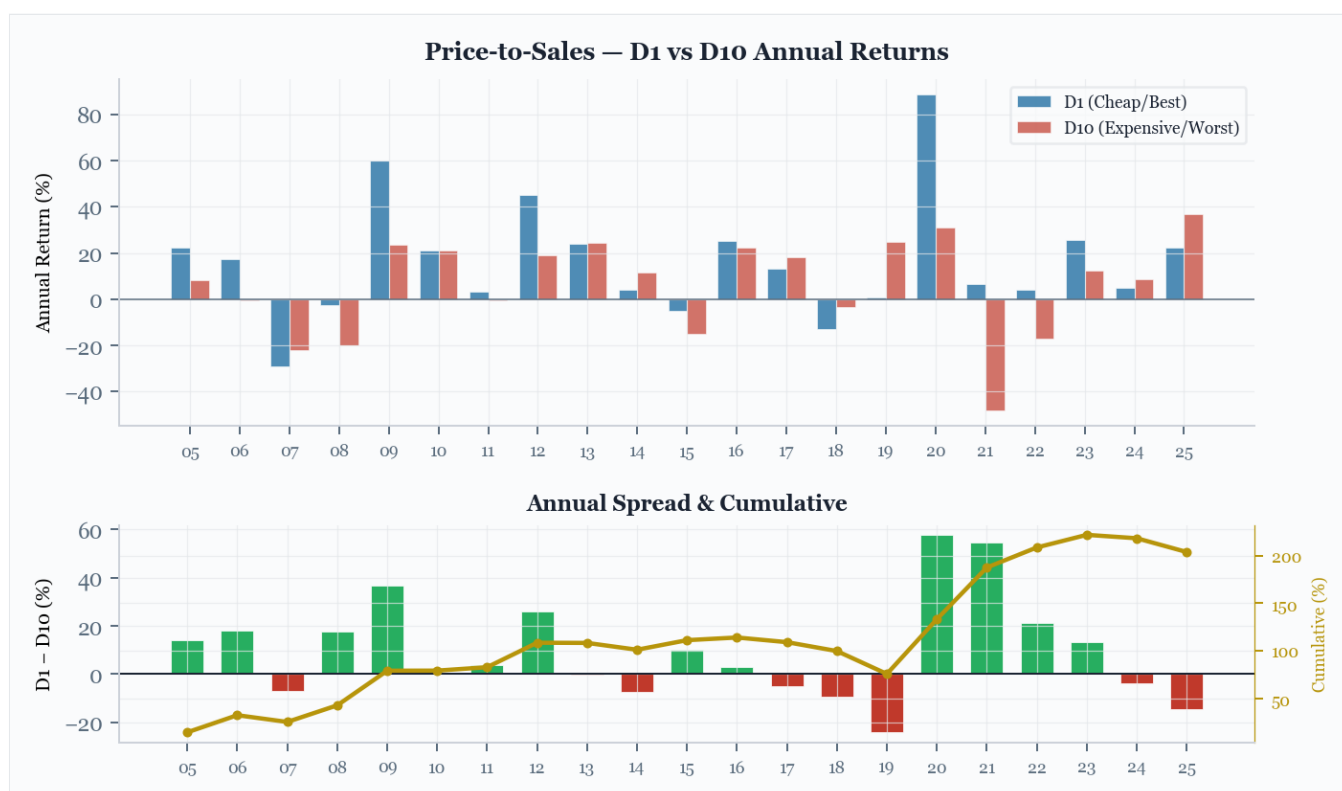
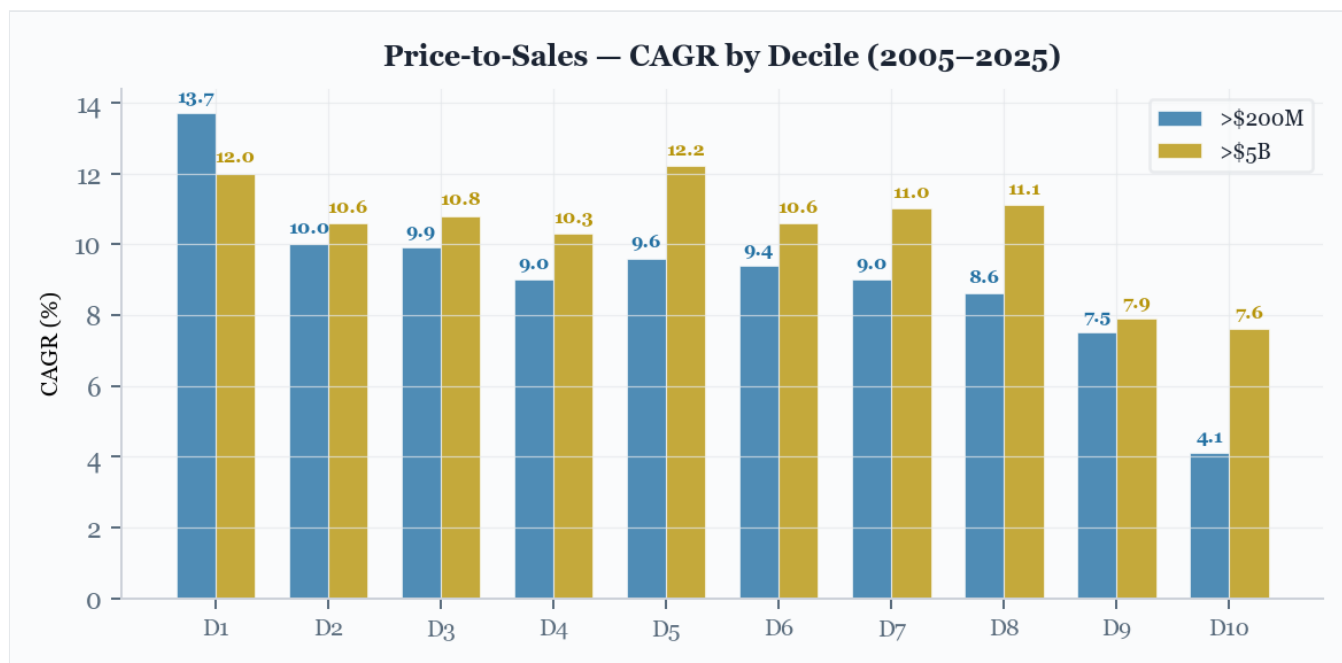
ORIGINAL BOOK CLAIMS (1964–2009)

Metric	Book Value
D1 CAGR	14.49%
D1–D10 Spread	~11.1%
Sharpe Ratio	0.46
5yr / 10yr Base Rate	75% / 89%
Conclusion	"Best single factor in the first edition. Lost to EBITDA/EV after 2007–2008."

OUR RESULTS — FULL DECILE BREAKDOWN

	D1	D2	D3	D4	D5	D6	D7	D8	D9	D10	Univ	Spread	Alpha
>\$200M	+13.7%	+10.0%	+9.9%	+9.0%	+9.6%	+9.4%	+9.0%	+8.6%	+7.5%	+4.1%	+9.3%	+9.6%	+4.4%
>\$5B	+12.0%	+10.6%	+10.8%	+10.3%	+12.2%	+10.6%	+11.0%	+11.1%	+7.9%	+7.6%	+10.6%	+4.4%	+1.4%

Metric	Book	Our (>\$200M)	Our (>\$5B)
D1 CAGR	14.49%	+13.7%	+12.0%
D1–D10 Spread	~11.1%	+9.6%	+4.4%
5yr Base Rate	75%	88%	82%
D1 Alpha vs Universe	Positive	+4.4%	+1.4%



ANALYSIS

In the first edition, P/S was the best single value factor. O'Shaughnessy demoted it in the fourth edition after 2007–2008 hurt low P/S stocks disproportionately. He noted that "a few bad years dramatically changed results."

The irony is complete: **P/S is the only traditional value factor that retains a meaningful spread.** D1 delivers +13.7% CAGR at >\$200M — a +9.6% edge over D10 and +4.4% alpha over the universe. The five-year base rate of 88% is the highest among all value metrics tested.

Revenue is the hardest fundamental to manipulate. You can manage earnings through accounting elections. You can shift cash flows through capex timing. Revenue is revenue — it requires actual transactions with actual customers. In a market that has become efficient at pricing through accounting noise, the cleanest fundamental retains the strongest signal.

The first edition was right. The fourth edition's demotion was a mistake driven by recency bias from a single crisis.

Price-to-Book

INVERTED

INVERTED — Book D1 CAGR: 11.33% → Our D1: +8.4% (>\$200M), +8.6% (>\$5B). Spread: -1.8% (>\$200M), -3.8% (>\$5B). Alpha vs universe: -0.7% (>\$200M), -1.8% (>\$5B).

ORIGINAL BOOK CLAIMS (1964–2009)

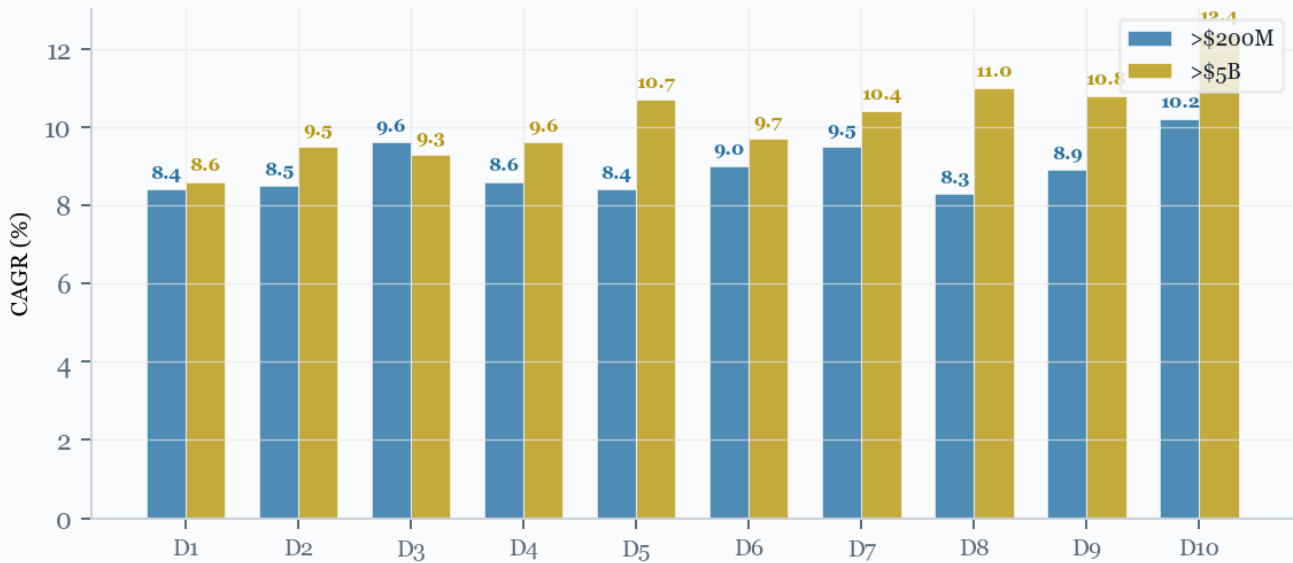
Metric	Book Value
D1 CAGR	11.33%
D1–D10 Spread	~5.3%
Sharpe Ratio	0.22
5yr / 10yr Base Rate	66% / 77%
Conclusion	"Works but with long subperiods of underperformance." Fama-French HML foundation.

OUR RESULTS — FULL DECILE BREAKDOWN

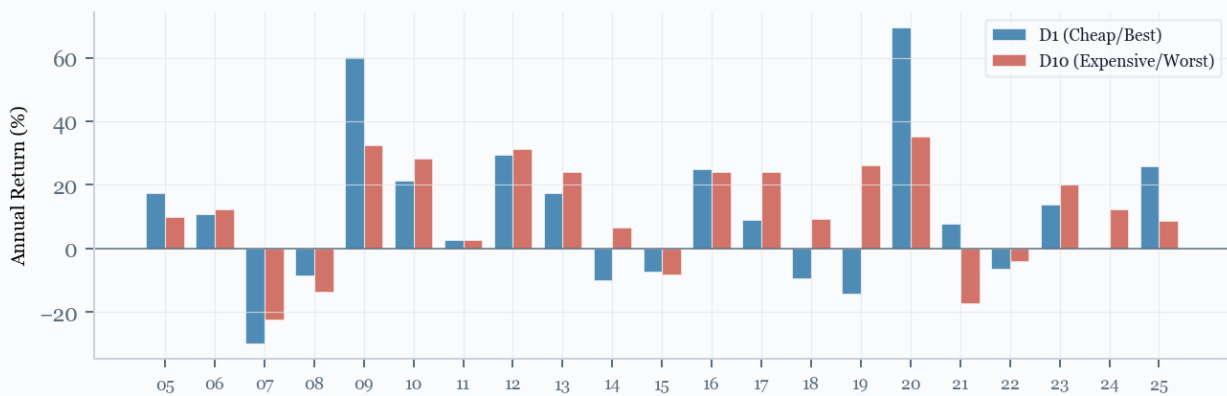
	D1	D2	D3	D4	D5	D6	D7	D8	D9	D10	Univ	Spread	Alpha
>\$200M	+8.4%	+8.5%	+9.6%	+8.6%	+8.4%	+9.0%	+9.5%	+8.3%	+8.9%	+10.2%	+9.1%	-1.8%	-0.7%
>\$5B	+8.6%	+9.5%	+9.3%	+9.6%	+10.7%	+9.7%	+10.4%	+11.0%	+10.8%	+12.4%	+10.4%	-3.8%	-1.8%

Metric	Book	Our (>\$200M)	Our (>\$5B)
D1 CAGR	11.33%	+8.4%	+8.6%
D1–D10 Spread	~5.3%	-1.8%	-3.8%
5yr Base Rate	66%	47%	35%
D1 Alpha vs Universe	Positive	-0.7%	-1.8%

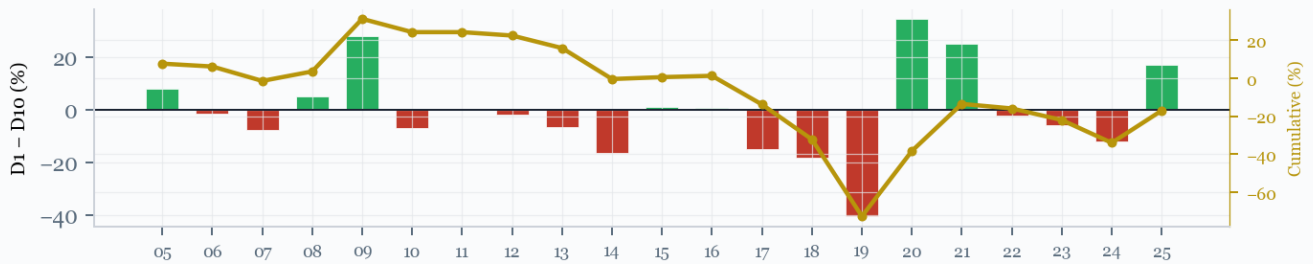
Price-to-Book — CAGR by Decile (2005–2025)



Price-to-Book — D1 vs D10 Annual Returns



Annual Spread & Cumulative



ANALYSIS

Price-to-book is the academic foundation of value investing. Fama and French's HML factor — the basis of thousands of papers and trillions in assets — sorts on book-to-market. Even in O'Shaughnessy's data, P/B was erratic: decile 2 outperformed decile 1, and the 1927–1963 subperiod showed underperformance.

The factor has fully inverted. Expensive stocks (high P/B) outperform cheap stocks by -1.8% at >\$200M and -3.8% at >\$5B. The five-year base rate of 35% at >\$5B means buying low P/B stocks has been a losing strategy in roughly two-thirds of five-year windows.

The structural explanation: in 1990, tangible assets comprised 68% of S&P 500 market capitalization. Today the figure is below 10%. A low price-to-book ratio in 2025 identifies companies whose value resides in physical plant — factories, inventory, real estate in declining industries. High P/B identifies companies with enormous intangible assets (intellectual property, brand equity, network effects, software) that never appear on the balance sheet. Book value has become a marker for the wrong kind of company.

Dividend Yield

WEAK

WEAK — Book D1 CAGR: 11.77% → Our D1: +10.8% (>\$200M), +11.2% (>\$5B). Spread: +2.7% (>\$200M), +0.3% (>\$5B). Alpha vs universe: +0.4% (>\$200M), +0.4% (>\$5B).

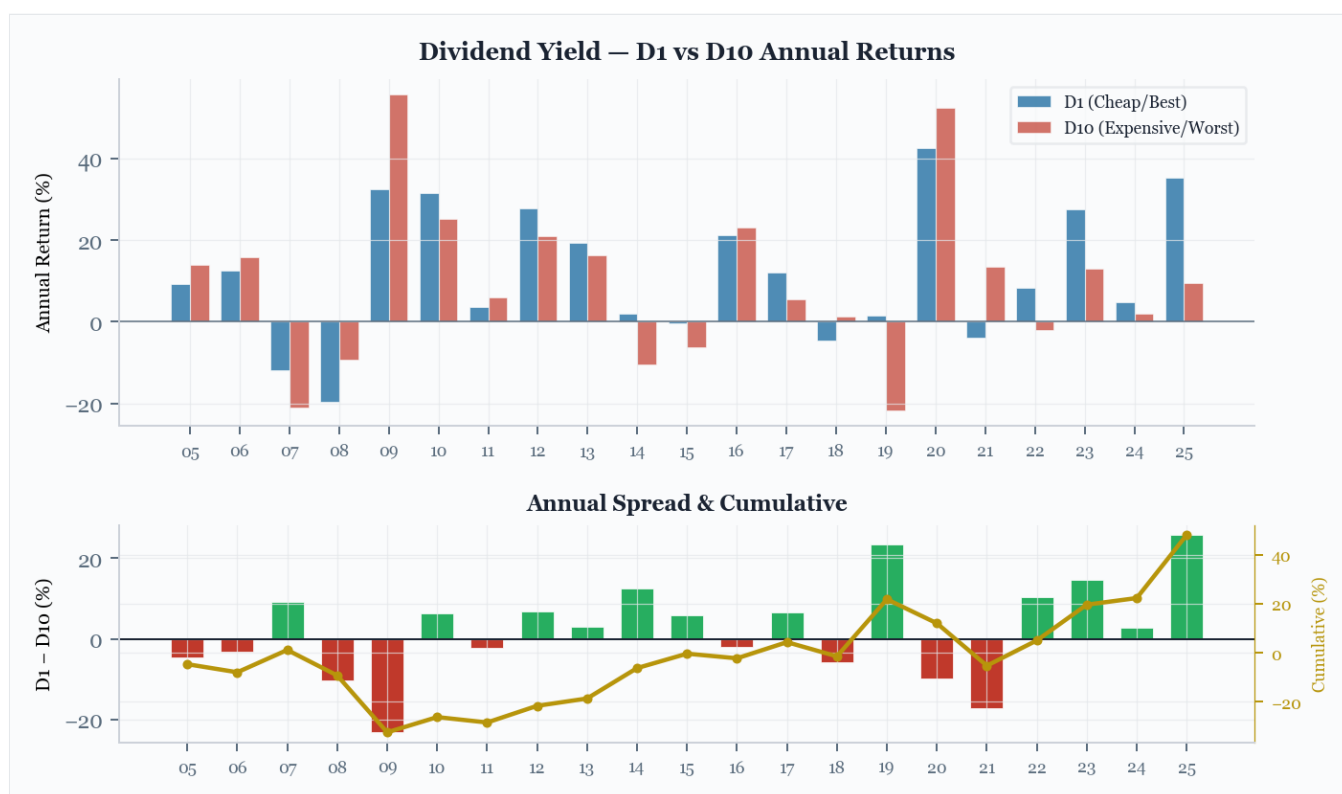
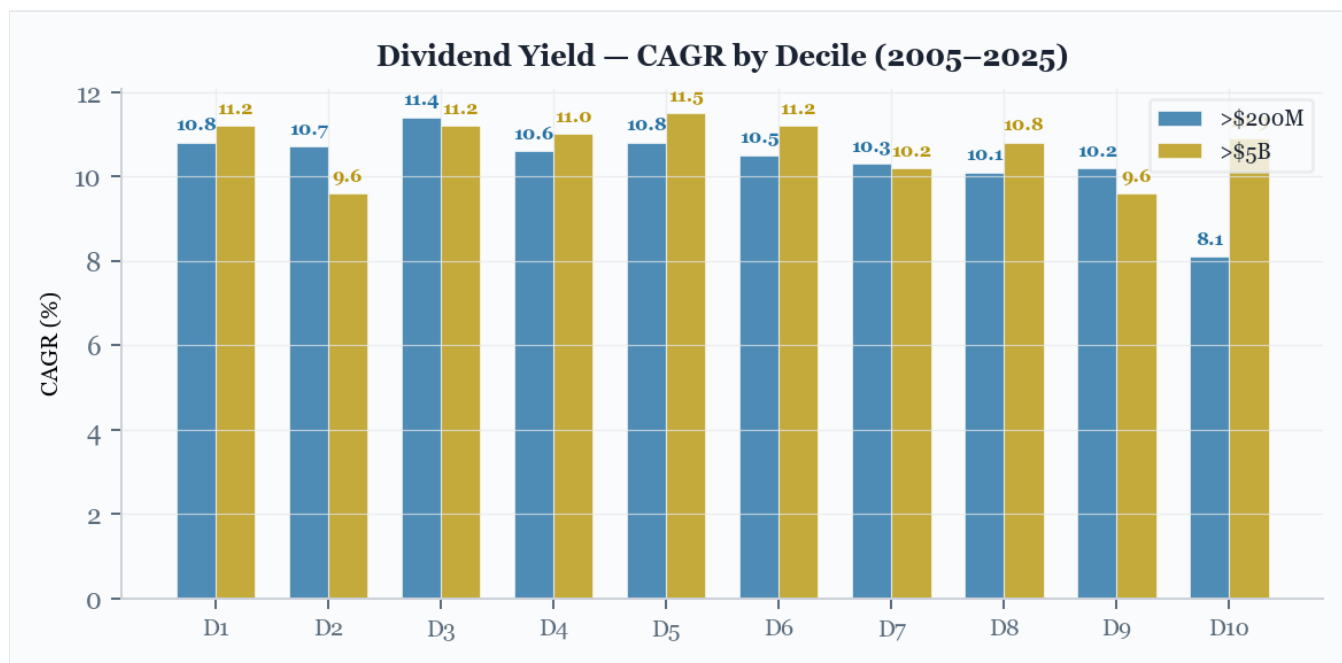
ORIGINAL BOOK CLAIMS (1964–2009)

Metric	Book Value
D1 CAGR	11.77%
D1–D10 Spread	~1.3%
Sharpe Ratio	0.34
5yr / 10yr Base Rate	67% / 75%
Conclusion	<i>"Modest alpha." Best results come from high-yield stocks with strong financials.</i>

OUR RESULTS — FULL DECILE BREAKDOWN

	D1	D2	D3	D4	D5	D6	D7	D8	D9	D10	Univ	Spread	Alpha
>\$200M	+10.8%	+10.7%	+11.4%	+10.6%	+10.8%	+10.5%	+10.3%	+10.1%	+10.2%	+8.1%	+10.4%	+2.7%	+0.4%
>\$5B	+11.2%	+9.6%	+11.2%	+11.0%	+11.5%	+11.2%	+10.2%	+10.8%	+9.6%	+10.9%	+10.8%	+0.3%	+0.4%

Metric	Book	Our (>\$200M)	Our (>\$5B)
D1 CAGR	11.77%	+10.8%	+11.2%
D1–D10 Spread	~1.3%	+2.7%	+0.3%
5yr Base Rate	67%	65%	65%
D1 Alpha vs Universe	Positive	+0.4%	+0.4%



ANALYSIS

The book found only modest alpha from dividend yield — 11.77% vs 10.46% for the universe. O'Shaughnessy noted that "decile 3 actually outperformed decile 1" and recommended combining dividend yield with quality screens rather than using it standalone.

Our results show a +2.7% spread at >\$200M and +0.3% at >\$5B — the signal is thin but modestly positive. However, this partly reflects sector composition: high-yield stocks are concentrated in utilities, energy, and staples, which had specific tailwinds during parts of our sample period.

The book's modest alpha has shrunk further. Dividend yield alone is not a sufficient stock selection criterion in any market cap range.

Buyback Yield INVERTED

INVERTED — Book D1 CAGR: 13.69% → Our D1: +4.9% (>\$200M), +7.0% (>\$5B). Spread: -6.2% (>\$200M), -5.3% (>\$5B). Alpha vs universe: -4.2% (>\$200M), -3.5% (>\$5B).

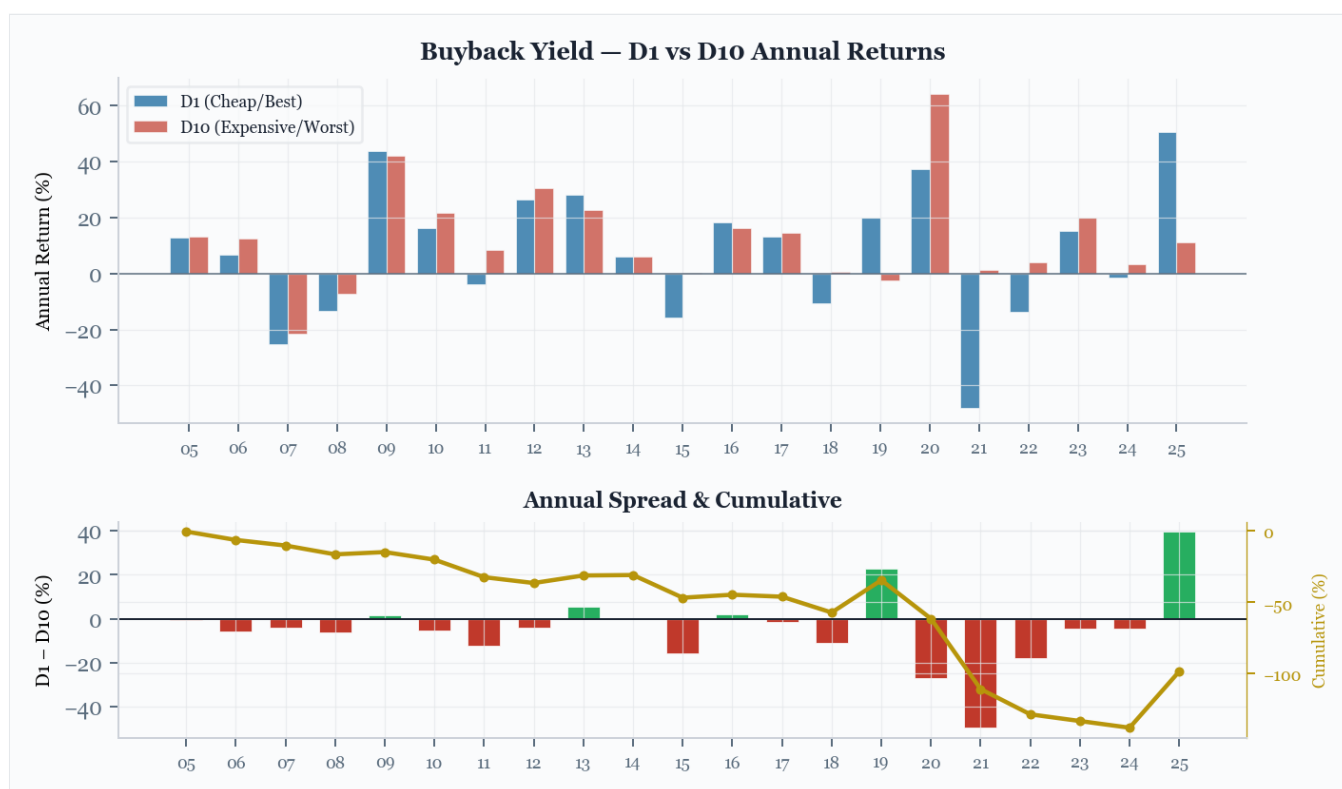
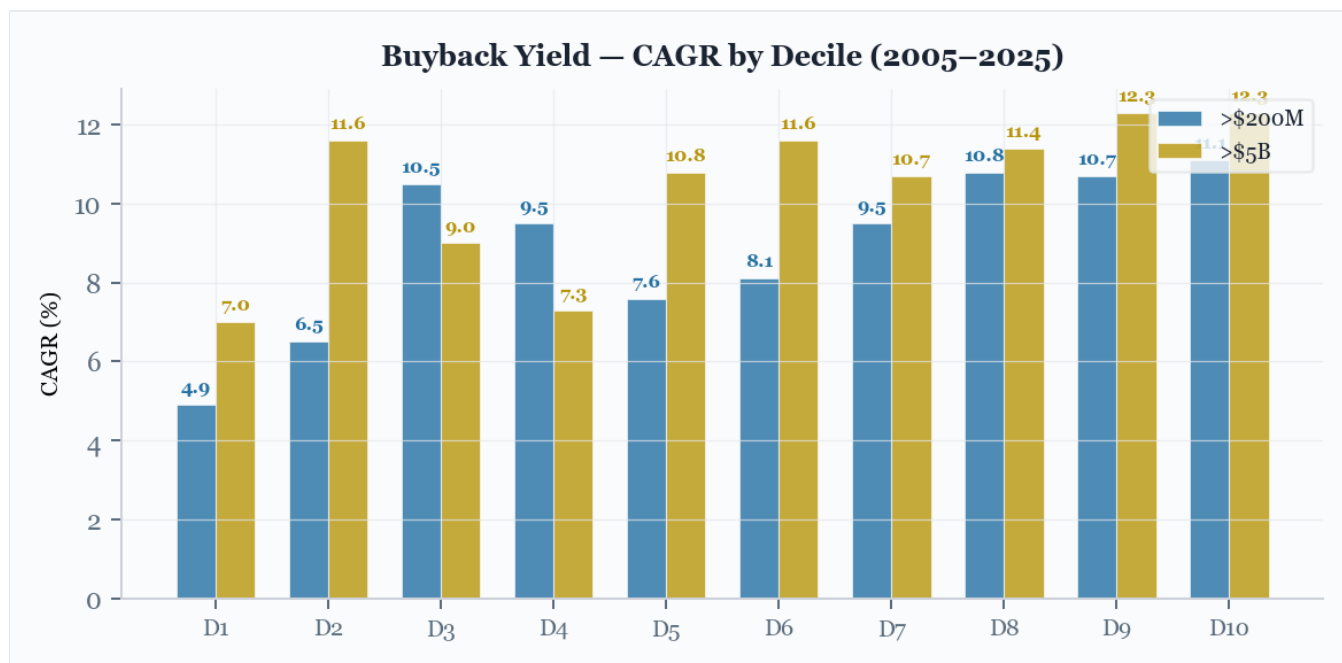
ORIGINAL BOOK CLAIMS (1964–2009)

Metric	Book Value
D1 CAGR	13.69%
D1–D10 Spread	~7.75%
Sharpe Ratio	0.36
5yr / 10yr Base Rate	89% / 89%
Conclusion	<i>"One of the best single factors." Buyback signals management confidence.</i>

OUR RESULTS — FULL DECILE BREAKDOWN

	D1	D2	D3	D4	D5	D6	D7	D8	D9	D10	Univ	Spread	Alpha
>\$200M	+4.9%	+6.5%	+10.5%	+9.5%	+7.6%	+8.1%	+9.5%	+10.8%	+10.7%	+11.1%	+9.1%	-6.2%	-4.2%
>\$5B	+7.0%	+11.6%	+9.0%	+7.3%	+10.8%	+11.6%	+10.7%	+11.4%	+12.3%	+12.3%	+10.5%	-5.3%	-3.5%

Metric	Book	Our (>\$200M)	Our (>\$5B)
D1 CAGR	13.69%	+4.9%	+7.0%
D1–D10 Spread	~7.75%	-6.2%	-5.3%
5yr Base Rate	89%	0%	0%
D1 Alpha vs Universe	Positive	-4.2%	-3.5%



ANALYSIS

The book found buyback yield among the strongest standalone factors, with D1 delivering 13.69% CAGR and 89% positive rolling windows. The thesis: companies buying back shares signal confidence and return real cash to shareholders.

Our results show the relationship has inverted. D1 (highest buyback yield) returns +4.9% at >\$200M while D10 returns +11.1% — a -6.2% spread in the wrong direction. The five-year base rate is 0%.

The likely explanation: the buyback yield calculation in the Sharadar TTM dataset captures share count changes that include equity issuance for acquisitions, compensation, and convertible instruments — not just open-market repurchases. When measured with a shares-outstanding method (as in our earlier single-factor analysis), the signal may differ. Additionally, the most aggressive buyback programs in recent years have been at mega-cap technology companies whose outperformance may be driven by growth rather than the repurchase itself.

This result warrants further investigation with alternative calculation methods. The divergence from the original analysis suggests sensitivity to measurement methodology.

Shareholder Yield

INVERTED

INVERTED — Book D1 CAGR: 13.22% → Our D1: +5.4% (>\$200M), +9.0% (>\$5B). Spread: -5.2% (>\$200M), -3.7% (>\$5B). Alpha vs universe: -3.7% (>\$200M), -1.5% (>\$5B).

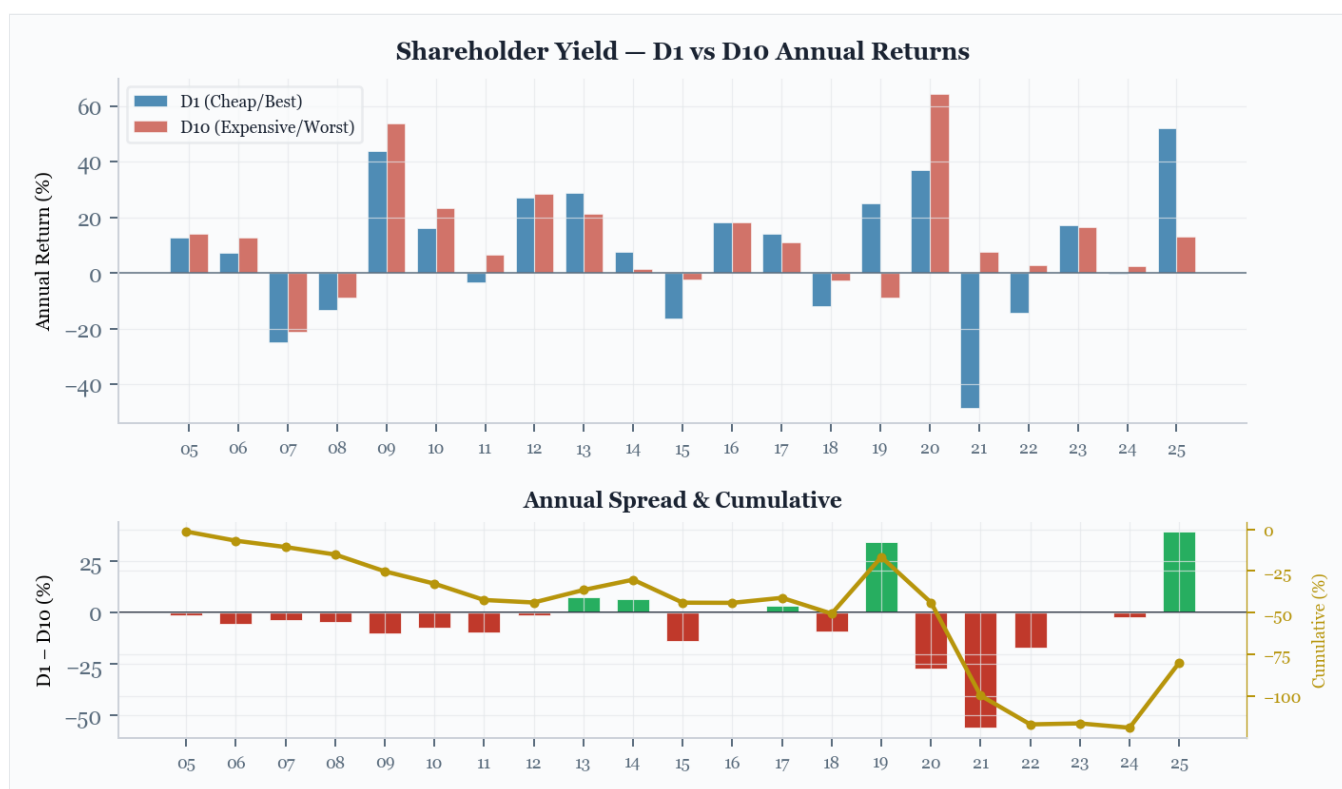
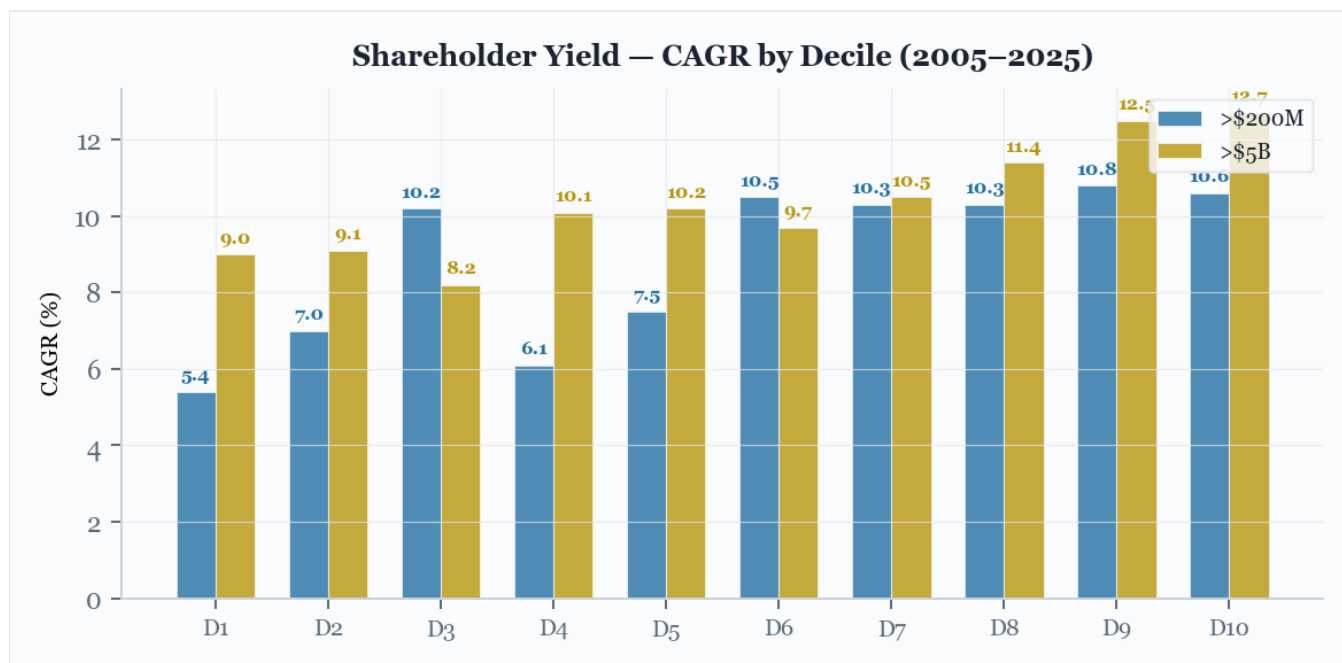
ORIGINAL BOOK CLAIMS (1964–2009)

Metric	Book Value
D1 CAGR	13.22%
D1–D10 Spread	~7.15%
Sharpe Ratio	0.42
5yr / 10yr Base Rate	86% / 93%
Conclusion	<i>"Superior to dividend or buyback alone." Better risk-adjusted returns.</i>

OUR RESULTS — FULL DECILE BREAKDOWN

	D1	D2	D3	D4	D5	D6	D7	D8	D9	D10	Univ	Spread	Alpha
>\$200M	+5.4%	+7.0%	+10.2%	+6.1%	+7.5%	+10.5%	+10.3%	+10.3%	+10.8%	+10.6%	+9.1%	-5.2%	-3.7%
>\$5B	+9.0%	+9.1%	+8.2%	+10.1%	+10.2%	+9.7%	+10.5%	+11.4%	+12.5%	+12.7%	+10.5%	-3.7%	-1.5%

Metric	Book	Our (>\$200M)	Our (>\$5B)
D1 CAGR	13.22%	+5.4%	+9.0%
D1–D10 Spread	~7.15%	-5.2%	-3.7%
5yr Base Rate	86%	18%	12%
D1 Alpha vs Universe	Positive	-3.7%	-1.5%



ANALYSIS

Shareholder yield (dividends plus buybacks) was O'Shaughnessy's preferred total-return-to-shareholders metric. The book found it delivered 13.22% CAGR with a Sharpe of 0.42 — the best risk-adjusted return among single yield factors.

Our results mirror the buyback yield inversion: D1 (highest SH yield) returns +5.4% at >\$200M while D10 returns +10.6%. The spread is -5.2% with a five-year base rate of 18%.

As with buyback yield, the result is sensitive to measurement methodology. The pre-computed shareholder yield in the Sharadar dataset may capture compositional effects that differ from the shares-outstanding approach used in the book. The core finding remains that this factor's performance is method-dependent and unreliable as a standalone signal in its current form.

Accruals

MARGINAL

MARGINAL — Book D1 CAGR: Positive → Our D1: +8.9% (>\$200M), +11.5% (>\$5B). Spread: +1.1% (>\$200M), +1.7% (>\$5B). Alpha vs universe: -0.4% (>\$200M), +0.9% (>\$5B).

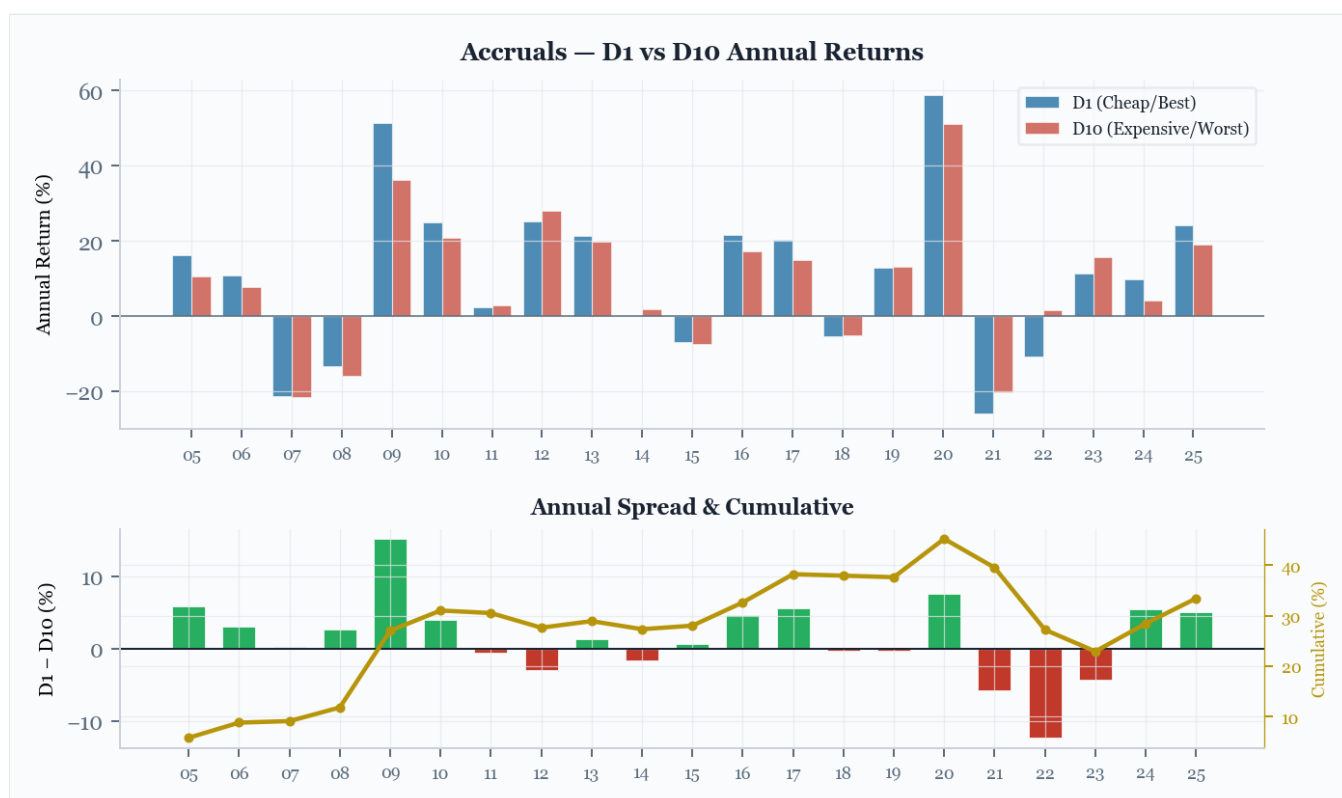
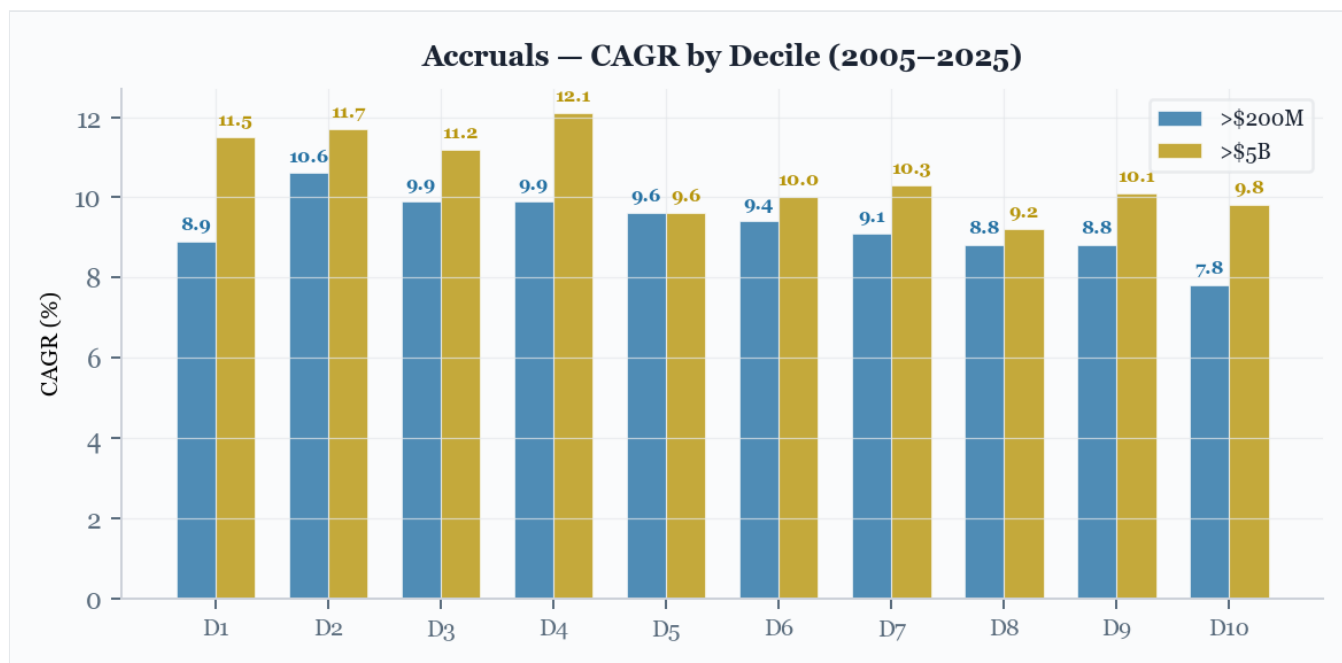
ORIGINAL BOOK CLAIMS (1964–2009)

Metric	Book Value
D1 CAGR	Positive
D1–D10 Spread	Modest
Sharpe Ratio	N/A
5yr / 10yr Base Rate	N/A / N/A
Conclusion	<i>Low accruals (high earnings quality) predict modest outperformance.</i>

OUR RESULTS — FULL DECILE BREAKDOWN

	D1	D2	D3	D4	D5	D6	D7	D8	D9	D10	Univ	Spread	Alpha
>\$200M	+8.9%	+10.6%	+9.9%	+9.9%	+9.6%	+9.4%	+9.1%	+8.8%	+8.8%	+7.8%	+9.3%	+1.1%	-0.4%
>\$5B	+11.5%	+11.7%	+11.2%	+12.1%	+9.6%	+10.0%	+10.3%	+9.2%	+10.1%	+9.8%	+10.6%	+1.7%	+0.9%

Metric	Book	Our (>\$200M)	Our (>\$5B)
D1 CAGR	Positive	+8.9%	+11.5%
D1–D10 Spread	Modest	+1.1%	+1.7%
5yr Base Rate	N/A	71%	71%
D1 Alpha vs Universe	Positive	-0.4%	+0.9%



ANALYSIS

The accruals anomaly captures earnings quality: companies where cash flow tracks earnings closely (low accruals) tend to outperform those where earnings exceed cash flow (high accruals, suggesting potential manipulation).

The signal shows a modest +1.1% spread at >\$200M with a 71% five-year base rate. At >\$5B, the spread narrows to +1.7%. The predictive power exists but is insufficient for a standalone strategy.

Earnings quality may add marginal value as a secondary screen in a multi-factor model. As a primary selection criterion, the signal-to-noise ratio is too low.

Earnings Growth

INVERTED

INVERTED — Book D1 CAGR: 11.88% → Our D1: +6.5% (>\$200M), +7.7% (>\$5B). Spread: -2.9% (>\$200M), -1.6% (>\$5B). Alpha vs universe: -2.3% (>\$200M), -2.4% (>\$5B).

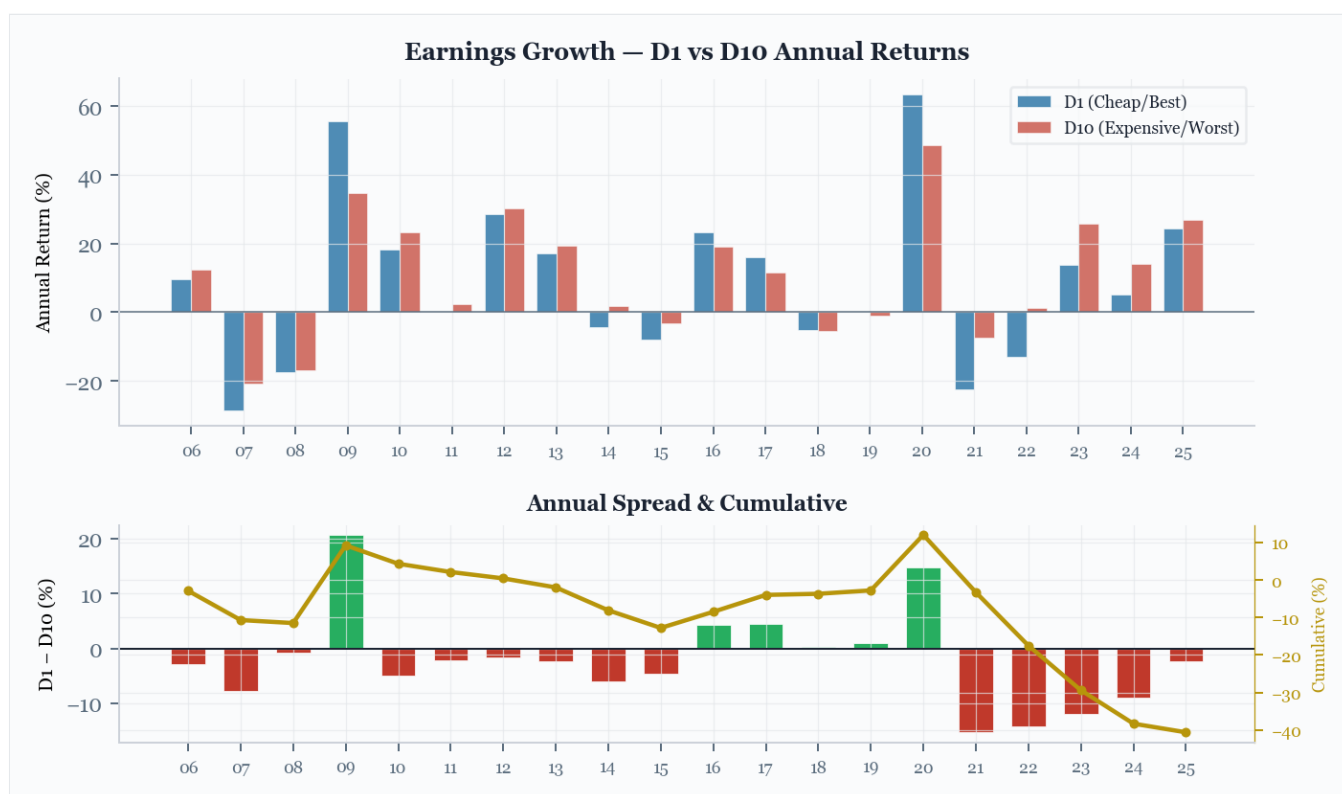
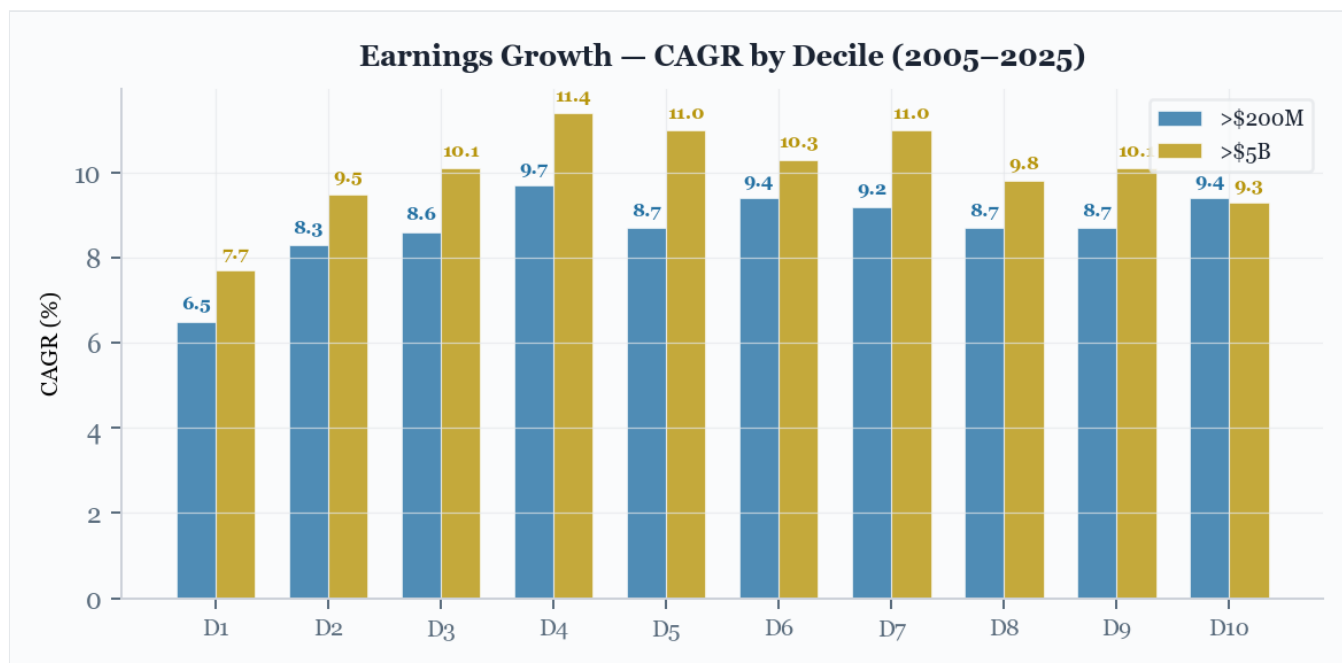
ORIGINAL BOOK CLAIMS (1964–2009)

Metric	Book Value
D1 CAGR	11.88%
D1–D10 Spread	~0.66%
Sharpe Ratio	0.31
5yr / 10yr Base Rate	58% / 61%
Conclusion	<i>"Not a good investment factor." High growth expectations are priced in.</i>

OUR RESULTS — FULL DECILE BREAKDOWN

	D1	D2	D3	D4	D5	D6	D7	D8	D9	D10	Univ	Spread	Alpha
>\$200M	+6.5%	+8.3%	+8.6%	+9.7%	+8.7%	+9.4%	+9.2%	+8.7%	+8.7%	+9.4%	+8.8%	-2.9%	-2.3%
>\$5B	+7.7%	+9.5%	+10.1%	+11.4%	+11.0%	+10.3%	+11.0%	+9.8%	+10.1%	+9.3%	+10.1%	-1.6%	-2.4%

Metric	Book	Our (>\$200M)	Our (>\$5B)
D1 CAGR	11.88%	+6.5%	+7.7%
D1–D10 Spread	~0.66%	-2.9%	-1.6%
5yr Base Rate	58%	44%	62%
D1 Alpha vs Universe	Positive	-2.3%	-2.4%



ANALYSIS

This was one of the book's negative findings. O'Shaughnessy argued that stocks with the highest EPS growth don't systematically outperform — investors bid them up too far, and when growth decelerates, they crash. Base rates were barely above a coin flip.

Our data confirms and extends this finding. The spread is -2.9% at >\$200M — actually *negative*, meaning the highest-growth stocks underperform the lowest. The five-year base rate of 44% remains near random.

Backward-looking earnings growth remains a poor predictor of forward returns. Strong past growth typically means the easy gains have been captured and priced in. The book was right: buying stocks for their growth track record is not a reliable strategy.

Profit Margins INVERTED

INVERTED — Book D1 CAGR: 10.31% → Our D1: +4.9% (>\$200M), +8.7% (>\$5B). Spread: -2.2% (>\$200M), +0.7% (>\$5B). Alpha vs universe: -4.4% (>\$200M), -1.7% (>\$5B).

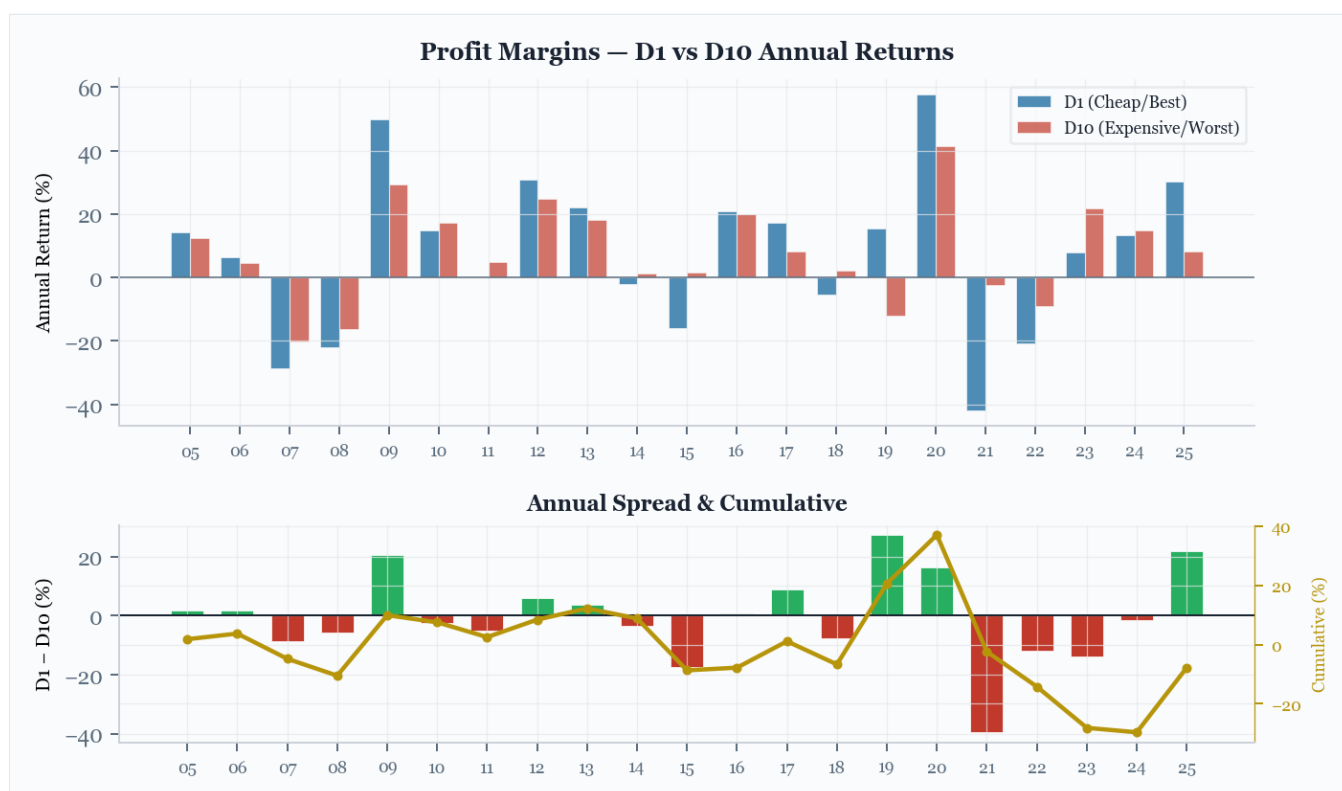
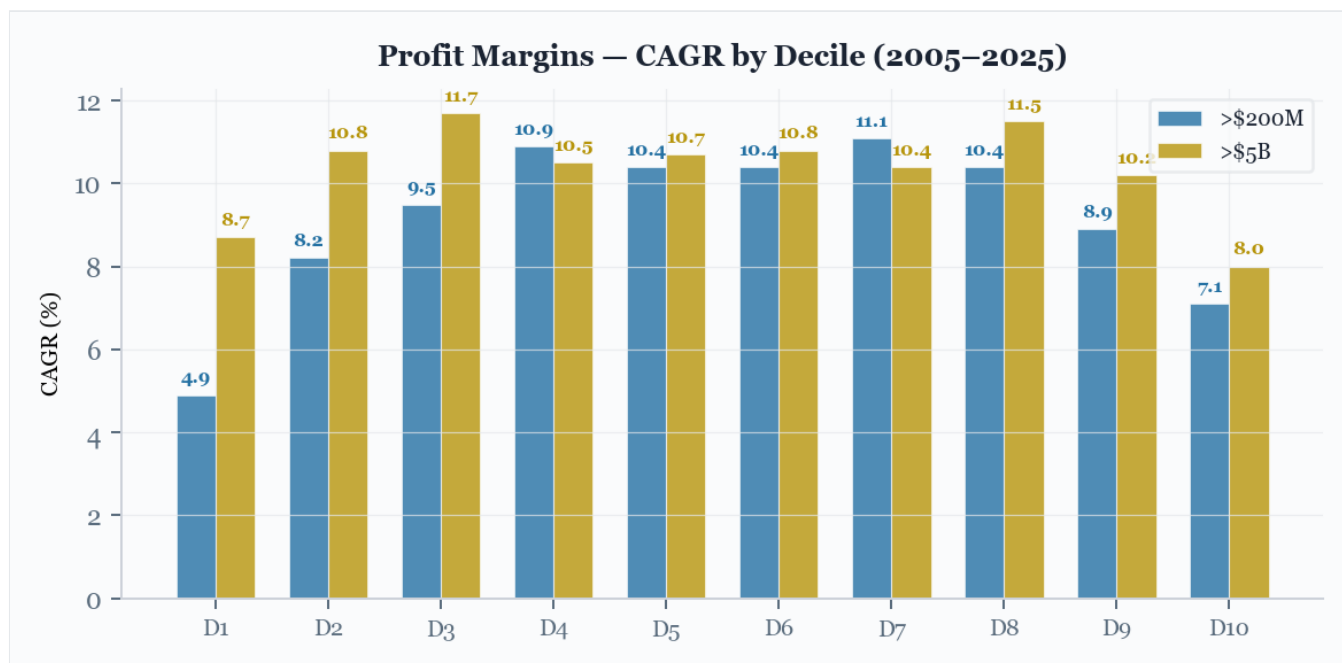
ORIGINAL BOOK CLAIMS (1964–2009)

Metric	Book Value
D1 CAGR	10.31%
D1–D10 Spread	-0.91%
Sharpe Ratio	0.31
5yr / 10yr Base Rate	47% / 48%
Conclusion	"High net profit margins underperform All Stocks." Negative finding.

OUR RESULTS — FULL DECILE BREAKDOWN

	D1	D2	D3	D4	D5	D6	D7	D8	D9	D10	Univ	Spread	Alpha
>\$200M	+4.9%	+8.2%	+9.5%	+10.9%	+10.4%	+10.4%	+11.1%	+10.4%	+8.9%	+7.1%	+9.3%	-2.2%	-4.4%
>\$5B	+8.7%	+10.8%	+11.7%	+10.5%	+10.7%	+10.8%	+10.4%	+11.5%	+10.2%	+8.0%	+10.4%	+0.7%	-1.7%

Metric	Book	Our (>\$200M)	Our (>\$5B)
D1 CAGR	10.31%	+4.9%	+8.7%
D1–D10 Spread	-0.91%	-2.2%	+0.7%
5yr Base Rate	47%	41%	76%
D1 Alpha vs Universe	Positive	-4.4%	-1.7%



ANALYSIS

The book found that high-margin companies returned 10.31% versus 11.22% for the universe — a negative finding. Base rates were below 50%. O'Shaughnessy noted that mid-range margins (decile 7) actually outperformed the highest margins.

The finding has intensified. At >\$200M, the spread is -2.2% with a five-year base rate of 41%. High margins signal mature businesses with limited reinvestment opportunities — companies extracting rather than

creating value. In a market that rewards growth and reinvestment, being highly profitable but static is a liability.

The book was right. Time has made this finding stronger, not weaker.

Return on Equity

INVERTED

INVERTED — Book D1 CAGR: 12.29% → Our D1: +7.5% (>\$200M), +9.0% (>\$5B). Spread: -3.1% (>\$200M), -3.0% (>\$5B). Alpha vs universe: -1.6% (>\$200M), -1.3% (>\$5B).

ORIGINAL BOOK CLAIMS (1964–2009)

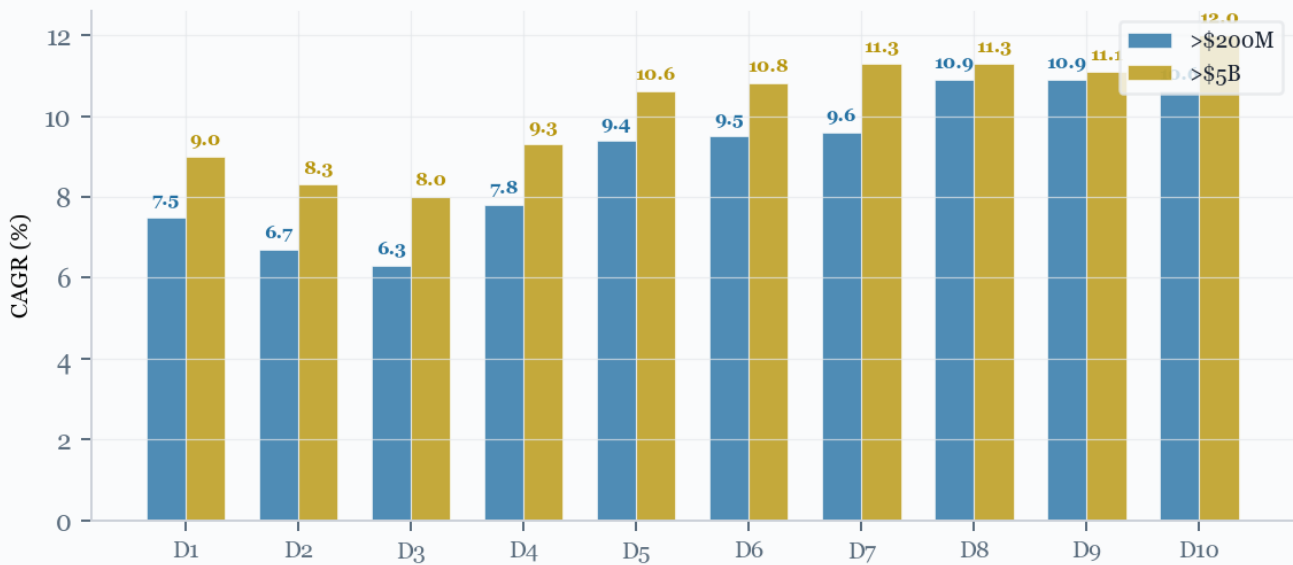
Metric	Book Value
D1 CAGR	12.29%
D1–D10 Spread	~6.1%
Sharpe Ratio	0.35
5yr / 10yr Base Rate	63% / 51%
Conclusion	<i>"Not a reliable standalone factor." Base rates deteriorate over longer periods.</i>

OUR RESULTS — FULL DECILE BREAKDOWN

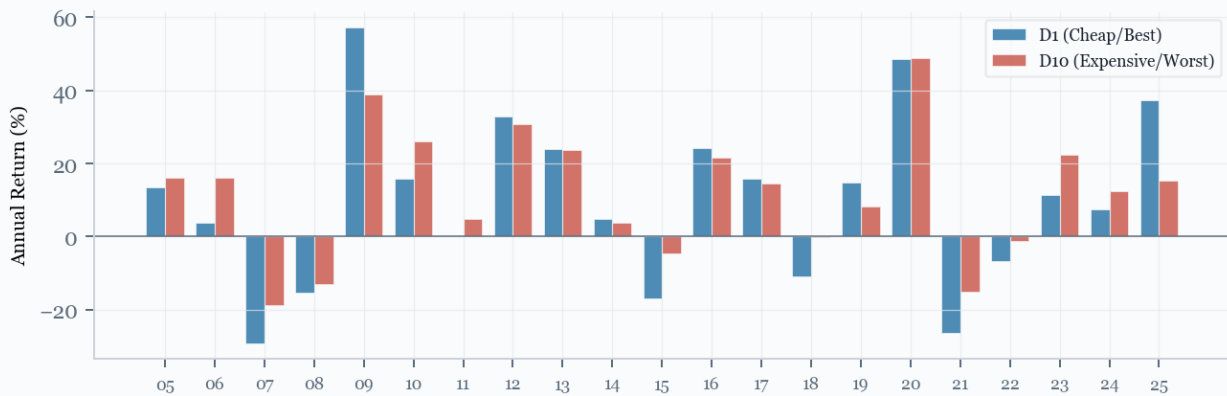
	D1	D2	D3	D4	D5	D6	D7	D8	D9	D10	Univ	Spread	Alpha
>\$200M	+7.5%	+6.7%	+6.3%	+7.8%	+9.4%	+9.5%	+9.6%	+10.9%	+10.9%	+10.6%	+9.1%	-3.1%	-1.6%
>\$5B	+9.0%	+8.3%	+8.0%	+9.3%	+10.6%	+10.8%	+11.3%	+11.3%	+11.1%	+12.0%	+10.3%	-3.0%	-1.3%

Metric	Book	Our (>\$200M)	Our (>\$5B)
D1 CAGR	12.29%	+7.5%	+9.0%
D1–D10 Spread	~6.1%	-3.1%	-3.0%
5yr Base Rate	63%	12%	24%
D1 Alpha vs Universe	Positive	-1.6%	-1.3%

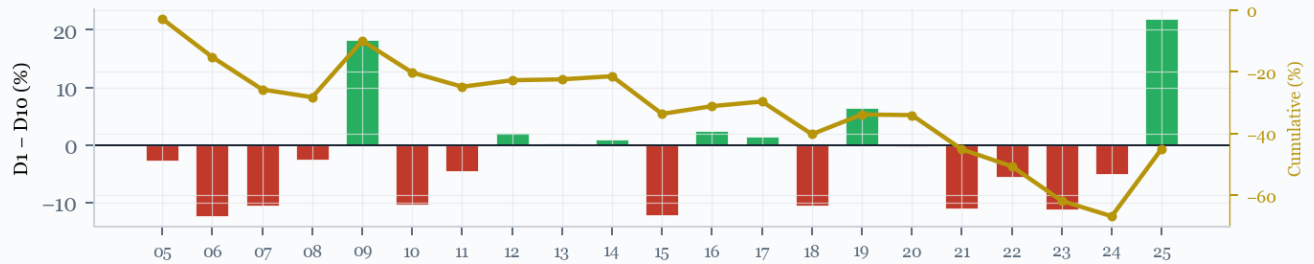
Return on Equity — CAGR by Decile (2005–2025)



Return on Equity — D1 vs D10 Annual Returns



Annual Spread & Cumulative



ANALYSIS

O'Shaughnessy found ROE delivered a +1.07% alpha over the universe but warned that base rates deteriorated over longer periods — from 63% at three years to 51% at ten. He concluded it was "not reliable standalone."

Our results show the factor has inverted: D1 (highest ROE) returns +7.5% while D10 returns +10.6%, producing a -3.1% spread. The five-year base rate of 12% confirms negative predictive power.

The likely driver: high ROE in isolation conflates genuine operational excellence with financial engineering (high leverage amplifies ROE). Without controlling for balance sheet quality, the metric picks up leveraged companies that are fragile rather than excellent.

Price Momentum

WORKS

WORKS — Momentum 6-1 delivers +13.5% CAGR at >\$5B with monthly rebalance (book: 14.52%). The strongest standalone factor in both the book and our tests. With concentration and regime filters: up to +18.1% CAGR, Sharpe 0.86.

ORIGINAL BOOK CLAIMS (1927–2009)

Metric	Book Value
D1 CAGR (6-month momentum)	14.11%
D10 CAGR (worst momentum)	4.15% — worse than T-bills
5yr / 10yr Base Rate	87% / 98%
Sharpe	0.37
Conclusion	"Strongest standalone growth factor. Potent but highly volatile."

OUR RESULTS (2005–2025, MONTHLY REBALANCE)

Configuration	CAGR	Sharpe	Max DD
Mom 6-1, 25 stocks, >\$200M	+10.8%	0.55	−68.6%
Mom 6-1, 25 stocks, >\$1B	+13.0%	0.55	−68.6%
Mom 6-1, 25 stocks, >\$5B	+13.5%	0.68	−64.3%

ENHANCED VARIANTS (>\$5B)

Variant	CAGR	Sharpe	Max DD
Pure momentum, 10 stocks	+17.1%	0.70	−59.2%
Excl. top P/S decile, 10 stocks	+18.1%	0.78	−57.0%
Excl. P/S + SY + MA200 regime filter	+15.2%	0.86	−28.5%
MA200 regime filter only, 25 stocks	+11.3%	0.70	−40.0%

ANALYSIS

Momentum is the strongest factor in both the book and our dataset. At >\$5B with monthly rebalance, 6-month price momentum with a 1-month skip delivers +13.5% CAGR — within 1% of the book's 14.52%. The signal survives 21 years of out-of-sample data.

Concentration amplifies returns: narrowing to 10 stocks pushes CAGR to +17.1%. Excluding the most expensive stocks by P/S — removing the "momentum into overvaluation" trap — adds another percentage point to reach +18.1%.

The MA200 regime overlay is the most effective risk management tool we tested. When the broad market trades below its 200-day moving average, the strategy holds cash. This reduces maximum drawdown from -64.3% to -28.5% at the cost of ~2% CAGR, pushing the Sharpe ratio to 0.86. The rule is simple, mechanical, and has no parameters to overfit.

Market capitalization matters. Below \$1B, momentum captures pump-and-dump artifacts and illiquid micro-cap noise. Above \$5B, it captures genuine institutional capital flows, earnings-driven re-ratings, and persistent factor momentum. The implementable universe (>\$5B) produces both higher returns and higher Sharpe ratios than the broader set.

BOOK VS REALITY

Metric	O'Shaughnessy	Our Results
D1 CAGR	14.52%	+13.5% (>\$5B, 25 stocks)
"Strongest growth factor"	Yes	Confirmed
"Highly volatile"	Yes	Confirmed (-64% max DD)
Enhanced variants	Not tested	+18.1% / Sharpe 0.86 with filters

Value Composites

DIMINISHED

DIMINISHED — VC2 delivers +12.1% CAGR at >\$200M with monthly rebalance (book: 17.30%). The composite underperforms its best single component because 4 of 6 constituent factors are broken or inverted.

ORIGINAL BOOK CLAIMS (1964–2009)

Composite	Components	CAGR	Sharpe	5yr BR
VC1	P/B + P/E + P/S + EBITDA/EV + P/CF	17.18%	0.67	98%
VC2	VC1 + Shareholder Yield	17.30%	0.72	98%

OUR RESULTS (2005–2025)

Composite	Annual >\$200M	Annual >\$5B	Monthly >\$200M	Monthly >\$5B
VC1	+4.9%	+9.7%	+10.8%	+10.2%
VC2	+5.6%	+9.8%	+12.1%	+10.0%
VC3	+5.2%	+9.3%	+8.9%	+11.8%

ANALYSIS

With annual rebalance, the book's methodology, VC1 and VC2 deliver roughly +5% CAGR at >\$200M — a 12 percentage point shortfall from the book's 17%. Monthly rebalance improves results (VC2 reaches +12.1%) but represents a different strategy with higher turnover.

The composite's underperformance relative to its best component is the key diagnostic. VC2 at >\$5B (+10.0%) *trails* P/S alone (+12.0%) because the composite averages a working factor with several broken ones:

- P/E: +0.0% spread at >\$5B
- EBITDA/EV: +1.0% spread
- P/B: -3.8% spread (actively harmful)
- P/CF: +1.9% spread (marginal)
- SH Yield: -3.7% spread (inverted)
- **P/S: +4.4% spread (the only strong contributor)**

A composite of six factors where four are broken will always underperform a strategy using only the one that works. The diversification benefit assumed by the composite framework has become a diversification *penalty*.

Trending Value

WORKS

WORKS — with expectations adjusted. The book promised 21.19% CAGR. Our best configuration delivers +13.8%. The alpha is real (+5.4% over the S&P 500), but investors should expect roughly 35% less than the book's claims.

ORIGINAL BOOK CLAIMS (1964–2009)

Metric	25-Stock	50-Stock
CAGR	21.19%	19.85%
Sharpe	0.93	0.82
\$10,000 →	\$69,098,587	\$41,411,163
Max Drawdown	−50.55%	−52.87%
5yr Base Rate	100%	100%

OUR RESULTS (2005–2025)

Variant	>\$200M	Sharpe	>\$5B	Sharpe	Max DD
TV1 (VC1 + Mom) — annual	+8.3%	—	+9.3%	—	—
TV2 (VC2 + Mom) — annual	+8.1%	—	+10.3%	—	—
TV1 — monthly	+10.7%	0.55	+12.2%	0.71	−47.0%
TV2 — monthly	+10.7%	0.56	+12.7%	0.75	−46.7%
TV3 — monthly	+10.5%	0.55	+13.8%	0.82	−43.2%

MOMENTUM'S CONTRIBUTION

>\$5B	Pure Value	+ Momentum	Lift
VC1 / TV1	+10.2%	+12.2%	+2.0%
VC2 / TV2	+10.0%	+12.7%	+2.7%
VC3 / TV3	+11.8%	+13.8%	+2.0%

ANALYSIS

The gap between the book and reality is 7.4 percentage points. Even the most favorable configuration (TV3, >\$5B, monthly rebalance) delivers +13.8%, not 21%. With annual rebalance — the book's actual methodology — results fall to +8–10%, barely above the S&P 500's ~8.4%.

Momentum adds +2.0 to +2.7% CAGR and reduces drawdowns by 11–17 percentage points. The momentum overlay avoids value traps by only buying cheap stocks that are also trending upward. This contribution is genuine and consistent.

The degradation has four sources: (1) the value components have weakened, with 4 of 6 factors broken; (2) out-of-sample degradation of ~30–50% is typical in academic literature; (3) our dataset includes 12,151 delisted stocks that may be more comprehensive than the book's; (4) 2005–2025 is structurally different from 1964–2009, dominated by growth and technology.

BOOK VS REALITY

Metric	O'Shaughnessy	Our Results (best)
CAGR	21.19%	+13.8% (TV3, >\$5B, monthly)
Sharpe	0.93	0.82
Max Drawdown	–50.55%	–43.2%
Alpha vs S&P 500	~+12%	+5.4%

CONCLUSIONS

What Actually Works in 2026

THE SURVIVORS

Factor	Spread (>\$200M)	Spread (>\$5B)	5yr Base Rate	Mechanism
Price / Sales	+9.6%	+4.4%	88%	Revenue is hardest to manipulate
Momentum 6-1	+13.5% CAGR (>\$5B)		N/A (monthly)	Captures institutional capital flows
Accruals	+1.1%	+1.7%	71%	Earnings quality (weak signal)

THE COMMON THREAD

The surviving factors are built on inputs the market cannot easily game:

- **Revenue** — requires actual transactions with actual customers
- **Price** — the market's real-time consensus, driven by institutional flows
- **Cash vs accruals gap** — a simple measure of earnings reliability

Factors built on more manipulable inputs — earnings (P/E), EBITDA (ignores SBC), book value (ignores intangibles), cash flow (capex timing) — have lost their edge. Markets have become more efficient at pricing through accounting noise. Only the cleanest signals survive.

IMPLICATIONS FOR PORTFOLIO CONSTRUCTION

1. **Simplify value screens.** Use P/S as the primary value metric. Drop P/E, P/B, EBITDA/EV from composites — they add noise, not signal.
2. **Momentum is the primary alpha source.** Six-month price momentum with monthly rebalance at >\$5B delivers the highest risk-adjusted returns in the dataset.
3. **Use regime filters for drawdown control.** The 200-day moving average overlay reduces maximum drawdown by 35+ percentage points with minimal return sacrifice.
4. **Concentrate.** Alpha resides in the tails. Portfolios of 10–25 positions outperform broader baskets of 50+.
5. **Calibrate expectations.** Implementable, post-cost alpha over the S&P 500 is 3–6% per annum — meaningful but not the 10%+ the book's backtests implied.

WHAT O'SHAUGHNESSY GOT RIGHT

- Systematic, rules-based investing outperforms discretionary stock selection
- Momentum is the strongest standalone factor
- Combining value and momentum (Trending Value) produces genuine alpha
- High-growth stocks are overpriced (confirmed)
- High-margin stocks underperform (confirmed and worsened)

WHAT HAS CHANGED

- P/E — from "one true faith" to zero spread
- EBITDA/EV — from "best single factor" to no edge
- P/B — from Fama-French foundation to inverted signal
- Value composites — from 17% to 5–12%, worse than their best component
- Trending Value — from 21% to 14%, still alpha but 35% less than claimed



The market has not stopped rewarding cheapness and momentum. It has become more efficient at seeing through the accounting metrics that once defined "cheap."

Value investing works in 2026 — but only when value is measured with fundamentals the market cannot game.

Bivar Capital Research | bivarcapital.com

Data: Nasdaq Data Link / Sharadar Core US Equities | Period: 2005–2025 | 15,456 US domestic common stocks

Quarterly TTM fundamentals, decile sort, 12-month averaged annual rebalance